IBISWorld

Wholesale Trade • 42482

Wine & Spirits Wholesaling in the US

High spirits: Purchases of premium spirits and wine will continue to support revenue growth

Christopher Lombardo
Published: February 2026

2026 IBISWorld. All Rights Reserved

About

IBISWorld specializes in industry research with coverage on thousands of global industries. Our **comprehensive data and in-depth analysis** help businesses of all types gain quick and actionable insights on industries around the world. Busy professionals can spend less time researching and preparing for meetings, and more time focused on making strategic business decisions

Table of Contents

Standard Report

1. About This Industry **1**
Definition 1
Codes 1
What's Included 1
Companies 1
Related Industries 1
Related Terms 2
Additional Resources 2
2. At a Glance **3**
Highlights 3
Major Players 4
Products and Services 4
Key External Drivers 4
Key Takeaways 4
SWOT 5
Industry Structure 5
Executive Summary 5
3. Performance **6**
Key Takeaways 6
Performance Snapshot 6
Current Performance 8
Volatility 10
Outlook 11
Life Cycle 12
4. Products and Markets **14**
Key Takeaways 14
Highlights 14
Products and Services 14
Major Markets 16
International Trade 17
5. Geographic Breakdown **18**
Key Takeaways 18
Business Locations 18
6. Competitive Forces **22**
Key Takeaways 22
Highlights 22
Concentration 22
Barriers to Entry 23
Substitutes 24
Buyer & Supplier Power 25
7. Companies **27**
Key Takeaways 27
Market Share 27
Companies 27
8. External Environment **31**
Key Takeaways 31
Highlights 31
External Drivers 31
Regulation & Policy 32
Assistance 33
9. Financial Benchmarks **36**
Key Takeaways 36
Highlights 36
Cost Structure 36
Financial Ratios 38
Key Ratios 43
10. Key Statistics **45**
Industry Data 45
11. Key Success Factors **48**

About This Industry

Definition

This industry distributes wine, distilled alcoholic beverages and various neutral spirits. Alcohol products are purchased from alcoholic beverage manufacturers and sold at wholesale volumes to licensed alcoholic beverage retailers.

Codes

2022	42482-Wine and Distilled Alcoholic Beverage Merchant Wholesalers
2022	424820-Wine and Distilled Alcoholic Beverage Merchant Wholesalers
2017	42482-Wine and Distilled Alcoholic Beverage Merchant Wholesalers
2017	424820-Wine and Distilled Alcoholic Beverage Merchant Wholesalers

What's Included

- Table wine
- Dessert wine
- Vodka
- Whiskey
- Rum
- Tequila
- Gin

Companies

- Southern Glazer's Wine And Spirits, Llc
- Republic National Distributing Company, Llc
- Breakthru Beverage Group, Llc

Related Industries

Domestic industries

Competitors

- Beer Wholesaling in the US

Complementors

- Wineries in the US
- Distilleries in the US
- Beer, Wine & Liquor Stores in the US

International industries

- Beer, Wine & Spirits Wholesaling in Canada
- Liquor Wholesaling in Australia
- Liquor and Tobacco Product Wholesaling in New Zealand
- Alcoholic Beverage Wholesaling in the UK
- Food, Beverage & Tobacco Wholesaling in Ireland
- Beverage and Tea Wholesalers in China

Related Terms

DISTILLED SPIRIT

An alcoholic beverage obtained by distillation from wine, other fermented fruit juice or various cereal grains that have first been brewed (e.g. whiskey, brandy and rum).

ON-PREMISE CONSUMPTION

Alcohol purchased at a licensed establishment (e.g. restaurant, bar or nightclub) for immediate consumption.

CONTROL STATE

A state in which the government, not private entities, manages the distribution of alcoholic beverages. Generally, the control state acts as the wholesaler of spirits and sometimes wine.

DIRECT SHIPPING

A distribution method that permits a winery or retailer to sell and ship directly to a consumer.

SHRINKAGE

The loss of product during shipment as a result of damage, fraud, theft, expiration or other form of human error.

THREE-TIER SYSTEM

A regulatory framework in the US alcohol industry that separates manufacturers, wholesalers, and retailers. Its primary aim is to prevent monopolies and ensure market competition. Producers sell to wholesalers, who then distribute to retailers, maintaining clear role distinctions and promoting a balanced and competitive market.

Additional Resources

- The Beverage Information Group
- Wine Business
- Wine and Spirits Wholesalers of America
- Wine & Spirits Magazine
- Wine Institute
- US Census Bureau

At a Glance

Revenue	$146.7bn	'21-'26	↑ 0.2 %
		'26-'31	↑ 2.0 %
Employees	105k	'21-'26	↑ 2.5 %
		'26-'31	↑ 2.0 %
Businesses	6,901	'21-'26	↑ 2.9 %
		'26-'31	↑ 2.2 %
Profit	$5.6bn	'21-'26	↓ 4.3 %
Profit Margin	3.8%	'21-'26	↓ 1.0 pp
Wages	$10.3bn	'21-'26	↑ 1.8 %
		'26-'31	↑ 2.0 %

Five-year growth rates display historic and forecast CAGRs

Major Players

Company	Revenue	Market Share
Southern Glazer's Wine And Spirits, Llc	$19.8bn	13.5%
Republic National Distributing Company, Llc	$10.3bn	7.1%
Breakthru Beverage Group, Llc	$7.8bn	5.3%
Other Companies	$108.7bn	74.1%

Products and Services

Item	Revenue	Market Share
Table wine	$50.6bn	34.5%
Whiskey	$26.0bn	17.7%
Vodka	$15.8bn	10.8%
Tequila	$14.7bn	10%
Rum	$4.8bn	3.3%
Dessert wine	$4.4bn	3%
Gin	$2.1bn	1.4%
Other wine and spirits	$28.3bn	19.3%

Key External Drivers

Key External Drivers	Impact
Per capita expenditure on alcohol	Positive
Demand from beer, wine and liquor stores	Positive
Consumer spending	Positive
Per capita disposable income	Positive

Key Takeaways

Performance

- Premiumization reshapes performance. Wholesalers are selling into a world with fewer drinkers but higher spend per occasion, forcing them to win on mix, execution and relationships rather than easy volume gains.
- Revenue growth to stay steady, not spectacular. The industry tracks the broader economy and modest trade-up trends, so operators that bank on big consumption rebounds risk disappointment unless they carve out premium or niche strongholds.
- Competition, not macro swings, drives risk. With taxes and fuel relatively predictable, the biggest threats to earnings now come from strategic missteps—like overbuilding, chasing the wrong categories or underinvesting in technology and service.

Products and Markets

- Portfolios tilt toward premium and RTDs. Distributors increasingly lean on higher-end spirits, tequila, RTDs and specialty items to offset softer table wine and mid-tier offerings, turning product curation into a make-or-break capability.
- Retailers lean harder on wholesalers. As shoppers chase value and convenience, chains and independents alike expect distributors to simplify assortments, support omnichannel growth and quietly power everything from club aisles to click-and-collect.
- Foodservice becomes an experience lab. Bars, hotels and restaurants look to wholesalers to help engineer profitable, story-rich drink menus—including low- and no-alcohol options—that keep guests spending even as visit patterns shift.

SWOT

Strengths	Low Volatility
	Low Imports
	High Profit vs. Sector Average
	Low Product/Service Concentration
Weaknesses	Low & Steady Barriers to Entry
	High Competition
	High Customer Class Concentration
	Low Revenue per Employee
	High Capital Requirements
Opportunities	High Revenue Growth (2020-2025)
	High Revenue Growth (2025-2030)
Threats	Low Revenue Growth (2005-2025)
	Low Outlier Growth
	Low Performance Drivers
	Per capita disposable income

Industry Structure

Characteristic	Level	Trend
Concentration	Low	
Barriers To Entry	Low	Steady
Regulation and Policy	Moderate	Steady
Life Cycle	Mature	
Revenue Volatility	Low	
Assistance	Moderate	Steady
Competition	High	Steady
Innovation	Very Low	

Executive Summary

High spirits: Purchases of premium spirits and wine will continue to support revenue growth

Wine and spirit wholesalers have navigated a landscape marked by pandemic aftershocks, changing consumer habits and intensifying operational pressures. Revenue only inched higher from their 2021 peak, but the dollars now lean more heavily toward tequila, premium whiskey, ready-to-drink cocktails and other higher-margin segments while table wine and value spirits fall out of favor. However, elevated input, labor and logistics costs have largely swallowed the benefits of this richer mix, leaving distributors fighting to defend, rather than expand, earnings. At the same time, a surge in new establishments, enterprises and headcount has intensified competition, meaning more distributors now chase only slightly more revenue. Revenue has been climbing at a sluggish 0.2% CAGR over the past five years, jumping 1.7% in 2026 alone to total $146.7 billion.

Surveys show the share of Americans who drink alcohol has fallen to multi-decade lows, even as nearly half say they intend to cut back further, yet per capita spending on alcohol continues to climb and outpace overall disposable income. The trend's been described as selective premiumization, with consumers trading up on specific occasions and categories—especially spirits and RTDs—while trimming overall volume. At the same time, direct-to-consumer wine, once seen as a structural growth engine, has reversed, with shipment volumes and values posting some of their steepest recorded declines as inflation and changing habits bite, pushing wineries and wholesalers back toward more hybrid, omnichannel models. The result is a barbell marketplace where mid-tier, indistinct offerings are squeezed between affluent drinkers seeking elevated experiences and value-led shoppers looking for sharp pricing and convenience.

Growth through 2031 will track closely with disposable income, as drinkers continue to trade up in value but not meaningfully expand volume. Stability in federal excise taxes and fuel prices should create a planning-friendly cost environment, allowing wholesalers to focus on multi-year initiatives around automation, digital integration and SKU rationalization. However, competition will tighten: new entrants and established distributors alike will open more sites and hire more staff, often jockeying for relatively flat demand. Market success will depend on aligning portfolios with emerging drinking occasions—supporting everything from e-commerce and DTC hybrid channels to credible NA and low-ABV offerings—while optimizing costs and deepening retailer partnerships. Revenue is forecast to expand at a CAGR of 2.0% over the next five years, reaching $162.2 billion in 2031.

Performance

Key Takeaways

Premiumization reshapes performance. Wholesalers are selling into a world with fewer drinkers but higher spend per occasion, forcing them to win on mix, execution and relationships rather than easy volume gains.

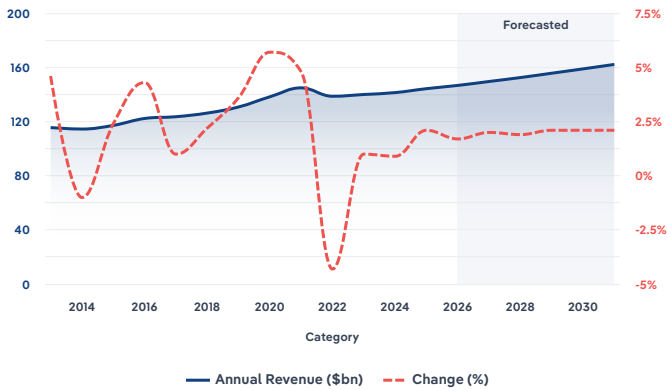
Revenue growth to stay steady, not spectacular. The industry tracks the broader economy and modest trade-up trends, so operators that bank on big consumption rebounds risk disappointment unless they carve out premium or niche strongholds.

Competition, not macro swings, drives risk. With taxes and fuel relatively predictable, the biggest threats to earnings now come from strategic missteps—like overbuilding, chasing the wrong categories or underinvesting in technology and service.

Performance Snapshot

Revenue

Total value ($) and annual change from 2013 – 2031. Includes 5-year outlook.



Revenue

$146.7bn

'21-'26 ↑ 0.2 %

'26-'31 ↑ 2.0 %

2026 Revenue Growth

1.7 % Increasing

Revenue Volatility

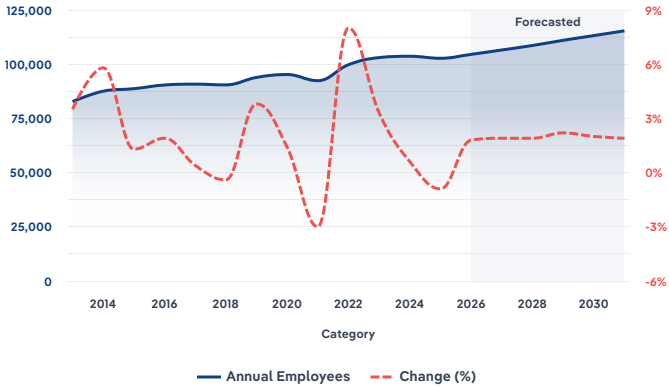
Low

IBISWorld

Source: IBISWorld

Employees

Total number of employees and annual change from 2013 – 2031. Includes 5-year outlook.



Source: IBISWorld

Employees

105k

'21-'26 ↑ 2.5 %

'26-'31 ↑ 2.0 %

Employees per Business

15

'21-'26 ↓ 0.4 %

'26-'31 ↓ 0.2 %

Revenue per Employee

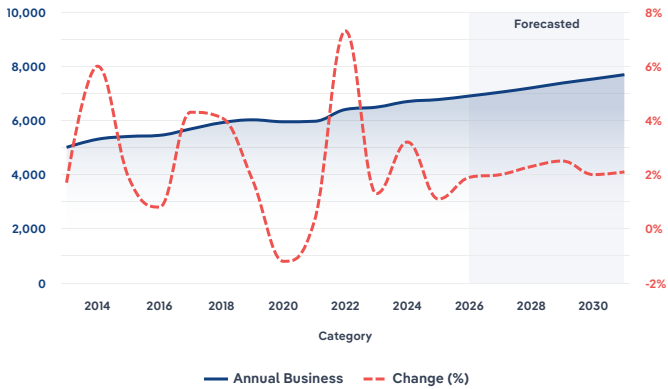
$1m

'21-'26 ↓ 2.2 %

'26-'31 ↑ 0.0 %

Business

Total number of businesses and annual change from 2013 – 2031. Includes 5-year outlook.



Source: IBISWorld

Businesses

6,901

'21-'26 ↑ 2.9 %

'26-'31 ↑ 2.2 %

Employees per Business

15

'21-'26 ↓ 0.4 %

'26-'31 ↓ 0.2 %

Revenue per Business

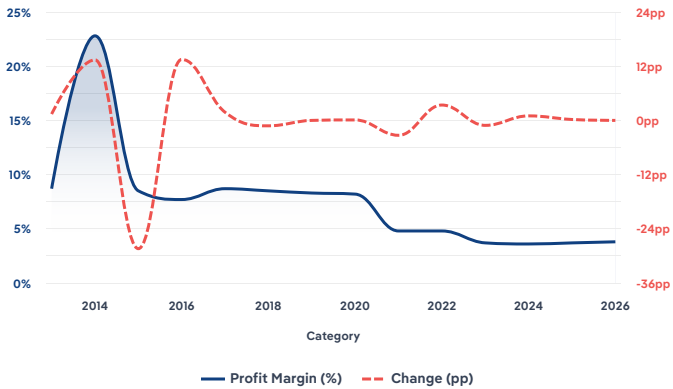
$21.3m

'21-'26 ↓ 2.6 %

'26-'31 ↓ 0.2 %

Profit Margin

Total profit margin (%) and annual change from 2013 – 2031



Total Profit
$5.6bn '21-'26 ↓ 4.3 %

Profit Margin
3.8% '21-'26 ↓ 1.0 pp

Profit per Business
$807.7k

IBISWorld

Source: IBISWorld

Current Performance

↑ 2021-26 Revenue CAGR +0.2%

What's driving current industry performance?

Premiumization cushions revenue while volumes flatten and mix shifts

- The industry moved from a pandemic peak of $144.9 billion in 2021 to a slightly higher $146.7 billion by 2026, but with a notable 4.3% revenue drop in 2022, followed by modest 1.0% to 2.0% growth each subsequent year. This pattern reflects a correction from elevated 2020–2021 demand and a pivot toward higher-value, lower-volume consumption.
- Over the same period, per capita alcohol expenditure rose steadily from $849.0 in 2021 to about $945.0 in 2026, even as surveys show fewer Americans drinking at all and more planning to cut back. That combination implies that active drinkers are often trading up on occasions, formats or brands, supporting revenue despite softening volumes.
- Premiumization did not translate into expanding profit: profit hovered in a narrow 3.6% to 4.8% band, actually dipping to 3.6% to 3.7% between 2023 and 2025, even as per-capita spend increased. Rising input, labor and logistics costs absorbed much of the premium mix benefit, forcing wholesalers to work harder on portfolio mix and operational efficiency just to hold earnings steady.
- In 2026, the operating picture is one of slow top-line growth but a meaningfully richer product mix: tequila, premium whiskey, RTDs and specialty items command a larger share of the $ 146.7-billion revenue base, while table wine and some value spirits lag. Wholesalers that leaned into higher-margin segments and disciplined cost control fared better than those reliant on legacy volume alone.

Stable excise taxes and rising purchasing costs keep profit tight

- Federal excise taxes on distilled spirits and wine were flat in nominal terms from 2021 through 2026 at roughly $18.00 per proof gallon for spirits equivalents and $1.90 per wine gallon. That stability is consistent with the Craft Beverage Modernization and Tax Reform Act, which locked in reduced rates for smaller producers and importers.
- While statutory rates held steady, the share of revenue absorbed by purchases remained very high at around 71–72.0% throughout the period. Even as revenue recovered from the 2022 drop, purchase costs grew in lockstep, reflecting higher supplier pricing, a premium mix and lingering inflation in glass, packaging and freight. This kept gross profit under pressure despite upstream excise relief.
- Profit as a share of revenue slipped from 4.8% in 2021–2022 to a low of 3.6% in 2024 before edging back to 3.8% in 2026, signaling that cost inflation and mix shifts more than offset any tax-related tailwinds. Wages crept up from 6.5% to about 7.0–7.1% of revenue over the same window and depreciation ticked higher after 2023, pointing to sustained investment in fleets, facilities and technology.
- For wholesalers, the key dynamic from 2021–2026 was not tax-driven margin expansion but margin defense amid sticky input costs. Operators that used stable excise rules to structure longer-term supplier agreements, rationalize SKUs and invest in automation and routing optimization were best positioned to keep profit from slipping further as the environment normalized after the pandemic surge.

Structural growth in establishments outpaces modest revenue gains

- Establishments rose from 6,606 in 2021 to 7,615 in 2026, and enterprises from 5,968 to 6,901, a roughly 15.0% net increase in both counts versus only about 1.0% net revenue growth over the period. That mismatch signals more distributors and locations competing for nearly flat demand.
- The most jarring year was 2022: establishments and enterprises jumped by just over 7.0%, while revenue fell by 4.3%. New facilities and entities were effectively chasing a pandemic-era high that was already unwinding, intensifying pricing pressure and raising customer service expectations without delivering commensurate top-line gains.
- Employment climbed from 92,395 to 104,540, with wages increasing from $9.4 to $10.3 billion, yet wage costs stayed tightly around 6.5–7.1% of revenue. Operators appear to have absorbed higher headcount by squeezing more productivity from each role, tightening routes and investing in systems rather than letting labor's share of revenue drift upward.
- The net result by 2026 is an industry with more corporate entities, more locations and more workers layered onto a slightly larger revenue base and slightly thinner profit than in 2021. Instead of a simple growth story, the data point to a competitive shake-out environment where scale, specialization and operating discipline matter far more than just "being in the game."

Moderation, mix shifts and logistics volatility redefine how wholesalers compete

- Per capita alcohol spending increased from $849.0 in 2021 to nearly $945.0 in 2026, while per capita disposable income moved from about $51,936 to $53,761. Consumers carved out a bit more wallet share for alcohol despite broader inflation, suggesting they continued to prioritize the category even as other costs rose.
- At the same time, fewer adults are drinking at all, and more say they intend to cut back. USA Today reported in 2025 that nearly half of Americans planned to drink less that year, up sharply from the prior year, while Gallup found US drinking incidence at a multi-decade low. That combination points to "fewer drinkers, higher spenders" rather than broad-based growth.
- Wholesalers also had to ride an extreme fuel roller coaster: diesel prices surged from $3.30 per gallon in 2021 to $5.00 in 2022, then eased toward $3.40 by 2026. That 52.0% spike in 2022 came at precisely the time revenue was contracting, forcing route consolidation, tighter minimums and closer scrutiny of unprofitable drops.
- These demand and cost signals nudged companies into different strategic lanes. Some leaned into premium spirits, tequila and RTDs to capture higher spend per remaining drinker; others focused on low-cost execution and private-label support for value-oriented accounts. The common thread is that "average" positioning became much harder to sustain in a world of moderation, category shifts and volatile delivery costs.

Volatility Low

What influences industry volatility?

Countercyclical demand softens revenue swings but caps rebounds

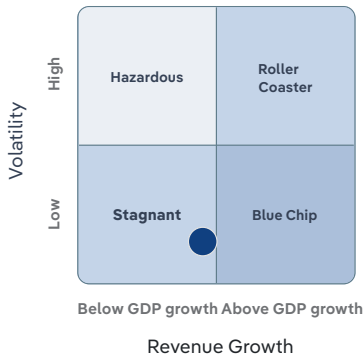
- From 2021 to 2026, revenue stayed within a narrow corridor, moving from $144.9 billion in 2021 down to $138.7 billion in 2022, then climbing gradually to $146.7 billion in 2026. Demand proved resilient, but spending shifts across price tiers and channels kept growth contained.
- Per capita alcohol expenditure rose from $849.0 to $945.0 over the same period, even as economic pressure and moderation trends gained traction. Rather than sharply cutting back, many consumers traded down to lower-priced brands, shifted more drinking into the home or chose spirits and RTDs over table wine, limiting the downside in weaker years.
- This behavior dampens volatility in both directions. In 2022, when revenue fell 4.3%, trading-down and at-home occasions helped prevent a deeper drop. Later, as macro conditions and fuel costs improved, those same habits constrained the recovery: from 2023 to 2026, annual revenue growth stayed in a tight 0.9% to 2.1% band instead of snapping back into a strong upswing.
- Revenue volatility over this period is less about abrupt demand collapses and more about mix and channel rebalancing. Businesses that diversified across price tiers and balanced on- and off-premise exposure generally saw smoother topline performance than those concentrated in a single, more cyclical demand pocket.

Seasonal peaks and shock years create timing noise around a stable base

- Underlying consumption is year-round, but revenue still reacts to the calendar and to one-off shocks. Holiday gifting, summer entertaining and major events pull sales into specific quarters, which show up as temporary bulges or dips around an otherwise modest growth trend. Full-year figures smooth out these peaks, but operators feel them in-season.
- The sharpest disruption came in 2022, when revenue dropped 4.3% despite rising per capita alcohol spend over the broader period. A spike in diesel from $3.30 to $5.00 per gallon, pressure on per capita disposable income and a reset from pandemic-era highs all landed at once, muting typical holiday and on-premise lifts that would usually support the annual topline.
- After that reset, revenue growth normalized into a relatively narrow band, between 0.9% and 2.1% annually from 2023 through 2026. Seasonal spikes still occurred, but they increasingly had to offset softer stretches influenced by moderation, trading-down and gradual shifts toward lower-ABV or non-alcoholic options, rather than simply piling on incremental growth.
- For planning purposes, wholesalers should treat revenue as structurally steady but tactically bumpy: quarter-to-quarter performance can move meaningfully with holidays, fuel costs and category fads, even when five-year growth looks modest. Those that tightly align inventory, labor and promotional calendars with these demand pulses are better positioned to keep annual volatility in check.

Stagnant

Industry volatility vs. revenue growth (2021-2026 CAGR)



IBISWorld

Source: IBISWorld

Key Success Factors

How do successful businesses overcome volatility?

Change or diversify markets

Companies must hold a diverse range of wines and spirits to appeal to rapidly changing consumer preferences.

Develop a strong reputation

Wholesalers that develop strong reputations for competitive prices and superior after-sale services will attract repeat buyers, mitigating revenue and profit fluctuations.

Outlook

↑ 2026-31 Revenue CAGR +2.0%

What's driving the industry outlook?

Premium-led spending will support steady but unspectacular revenue growth

- Industry revenue is projected to climb from $146.7 billion in 2026 to $162.2 billion in 2031, with annual growth hovering between 1.9% and 2.1%. This tracks closely with a mature category where incremental gains come from mix and pricing, not a surge in overall alcohol consumption.
- Per capita alcohol expenditure is expected to climb from $944.7 to $1,062.1 over the outlook, growing roughly 2.3% to 2.5% per year. That trajectory implies drinkers are likely to keep trading up to higher-value products, formats and occasions, even if total servings per person remain flat or drift down.
- Consumer spending and per capita disposable income both increase at similar 2.0% to 2.3% annual rates through 2031, keeping alcohol aligned with broader wallet growth rather than dramatically outpacing it. Wholesalers should therefore assume revenue follows the macro economy plus a modest premiumization uplift, not a structural demand boom.
- Global outlook work from IWSR anticipates modest value growth in beverage alcohol across key markets to 2034, mostly driven by premium segments rather than volume expansion. Applying that lens, US distributors that emphasize higher-margin spirits, elevated wine tiers and premium RTDs are best positioned to grow faster than the projected topline.
- Category and brand choices will become more important than simply “being in alcohol.” Portfolios skewed toward resilient premium price points and occasions are likely to capture more than their share of the additional $15.5 billion, while value-heavy or undifferentiated mixes will tend to track or lag industry averages.

Stable tax and fuel conditions will create a planning-friendly cost environment

- Federal excise taxes on distilled spirits and wine will hold at $18.0 and $1.90, respectively, through 2031, and the wage-to-revenue ratio is set to remain fixed at 7.0%. This combination creates an unusually predictable framework for two major inputs into pricing and margin decisions.
- Diesel prices are forecast to inch up only from $3.40 per gallon in 2026 to $3.50 by 2031, implying annual increases of roughly 0.1% to 1.2%. After earlier periods of sharp volatility, this relatively flat curve allows wholesalers to design routing and delivery networks without constantly repricing in response to fuel shocks.
- With consumer spending, disposable income and per capita alcohol expenditure all growing in the low-to-mid 2.0% range, revenue gains should broadly match underlying demand and modest cost inflation. In this environment, price-driven revenue volatility tied to sudden tax or fuel changes is unlikely; instead, topline fluctuations will mostly reflect category mix and competitive dynamics.
- A stable cost backdrop gives operators more room to pursue multi-year initiatives—such as automation, route optimization and longer-term supplier contracts—without fear that external shocks will quickly erase the benefits. Distributors that lock in structural efficiencies during this relatively calm window will have more flexibility to defend share and pricing if costs accelerate after 2031.
- Because tax and fuel headwinds will be limited, distributors that still experience outsized revenue swings will probably be reacting to strategic missteps, not macro forces. That puts a premium on disciplined pricing architecture, thoughtful contract structures and proactive communication with retailers around any necessary pass-throughs.

Measured expansion headcount raises competitive intensity

- Establishments are projected to increase from 7,615 in 2026 to 8,479 in 2031 and enterprises from 6,901 to 7,688, both growing around 2.0% to 2.5% annually. Employment is expected to climb from 104,540 to 115,386, with wages moving from $10.3 to $11.4 billion over the same period.
- Average staffing per establishment and per enterprise will remain roughly 14 and 15 employees, respectively, and wages will stay anchored at 7.0% of revenue. This suggests wholesalers plan to scale mostly by replicating existing operating models across more locations, rather than dramatically re-engineering organizational structures or labor intensity.
- Revenue growth of 2.0% to 2.1% annually roughly matches the pace of establishment and enterprise expansion, implying that new or enlarged players will, on average, only capture incremental demand rather than unlocking outsized new pools of revenue. Competitive differentiation, not simple geographic spread, will determine who outperforms.
- As more entities share a gradually expanding revenue base, price and service expectations are likely to tighten. Customers will increasingly benchmark wholesalers against one another on fill rates, data support, digital capabilities, and portfolio strength, not just on the ability to deliver a broad set of SKUs.
- Operators that use this growth phase to sharpen their value proposition—whether through scale, specialization or superior execution—will be better equipped to absorb future consolidation or slowdowns. Those that simply add branches or headcount without a clear strategic angle risk diluting returns as the industry becomes more crowded.

Evolving drinking habits and channels will reshape where growth shows up

- Per capita alcohol expenditure is forecast to rise steadily from $944.7 to $1,062.1 despite mounting moderation signals, growing faster than population but only slightly ahead of disposable income. Research from IWSR indicates that moderation is becoming more embedded, with more consumers cycling between drinking and non-drinking occasions and experimenting with low- and no-alcohol options.
- Volume gains are likely to be limited while value per occasion grows and growth will be uneven across formats. Wholesalers should expect more demand for premium experiences, convenient RTDs and credible NA alternatives and less for undifferentiated mid-tier products that neither satisfy moderation goals nor deliver clear trading-up benefits.
- Direct-to-consumer and online channels will continue to evolve as partial substitutes and complements to traditional three-tier flows. Recent reporting shows US direct-to-consumer wine shipments have already begun to contract after earlier rapid growth, suggesting that regulation, economics and consumer fatigue cap the pure DTC opportunity. Over the next five years, hybrid models are more likely to win than pure bypass strategies.
- Growth to 2031 will hinge on enabling these new behaviors: integrating with retailer e-commerce, supporting marketplace and delivery partners and treating NA and low-ABV lines as core parts of the assortment for many accounts. Success depends less on defending historical case volumes and more on becoming indispensable category managers across all the ways consumers now buy and consume beverage alcohol.

Life Cycle

Mature

Why is the industry mature?

Contribution to GDP

Wine and spirits wholesalers steadily contribute to the economy. The three-tier system gives the industry greater stability than other wholesale industries and protects it from wholesale bypass. Rising product segments like RTD cocktails compound growth by historically dominant products like whiskey.

Market Saturation

Market saturation is high, but steadily increasing demand and low barriers to entry will enable entry. The three-tier system protects wholesalers from direct-to-consumer sales. Additionally, the high level of regulation and the large number of small businesses at the manufacturing level have made it difficult for large distributors to consolidate.

Innovation

Goods and services provided by wine and spirits wholesalers are well-established, limiting opportunities for innovation. Most changes occur at the production level. While supply chain management tools can make distribution more efficient, the three-tier system limits competition and can stifle innovation.

Consolidation

Some wholesalers have pursued mergers and acquisitions, targeting smaller competitors with lucrative contracts and access to new regions and markets. However, many small and regional wine and liquor producers have found that regional distributors have an advantage over large national wholesalers.

Technology and Systems

Wholesalers have adopted new technology to improve inventory management and automate positions to reduce wage costs. Larger wholesalers have more capital to invest in the latest technology. Supply chain management consultants and more advanced logistics software have made technology more accessible for small distributors.

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries

*Growth is based on change in share of economy combined with change in establishment numbers

Source: IBISWorld

Products and Markets

Key Takeaways

Portfolios tilt toward premium and RTDs. Distributors increasingly lean on higher-end spirits, tequila, RTDs and specialty items to offset softer table wine and mid-tier offerings, turning product curation into a make-or-break capability.

Retailers lean harder on wholesalers. As shoppers chase value and convenience, chains and independents alike expect distributors to simplify assortments, support omnichannel growth and quietly power everything from club aisles to click-and-collect.

Foodservice becomes an experience lab. Bars, hotels and restaurants look to wholesalers to help engineer profitable, story-rich drink menus—including low- and no-alcohol options—that keep guests spending even as visit patterns shift.

Largest Market
$50.6bn Table wine

Product Innovation
Very Low

Products and Services

How are the industry's products and services performing?

Table wines navigate volume decline while leaning on premiumization

- Table wine remains the single largest product line for wholesalers, but its share reflects a market in which still wine volumes have softened while premium price tiers have held up better. According to Vinetur's 2025 premiumization analysis, US wine volume fell about 4.0% in 2024 even as total value grew.
- Since 2021, younger drinkers and some legacy consumers have shifted away from everyday table wines toward spirits, RTDs and moderation, accelerating volume pressure in sub-$15 bottles. Industry coverage notes that premium-and-above price tiers are where nearly all growth is expected, reinforcing wholesalers' need to rebalance toward higher-margin SKUs.
- Sparkling and imported value wines have created pockets of resilience inside the broader table-wine bucket. Trends in 2025 highlight strong momentum in affordable European imports in the $10–$20.00 range, with some importers citing more than 50.0% growth for certain Spanish and French value wines. Wholesalers that emphasize these "quality-for-price" options can offset domestic softness.
- In 2026, successful distributors treat table wine less as a volume staple and more as a segmented portfolio: trading loyal drinkers up into premium, leveraging value imports to retain budget-conscious consumers and tightly managing slower-moving SKUs. Education, by-the-glass support and storytelling around origin and sustainability all help keep table wine relevant even as its overall share slowly erodes.

Whiskey and vodka anchor spirits but face shifting preferences

- Whiskey and vodka together account for a large share of wholesalers' spirits revenue, yet category dynamics have diverged. Vodka remains the most valuable US spirits category by revenue, at about $7.2 billion in 2024 and essentially flat year-over-year, according to The Spirits Business. Whiskey growth has cooled after a long boom.
- Consumer research from Penn State Extension notes that vodka still accounts for roughly 27.0% of total US spirits volume, with flavored variants accounting for about one-fifth of vodka sales, reflecting continued interest in mixable, flavored options. For wholesalers, that means broad but more mature demand where innovation and brand switching drive rotation rather than strong volume expansion.
- Whiskey's long run-up—especially bourbon and American whiskey—has met headwinds from higher prices, economic pressure and lifestyle shifts. According to a Q4 2024 report from Sasma, overall US spirit volumes declined 3.0% in early 2024 versus 2023, with notable drops in vodka and Scotch, and growing commentary about the impact of moderation, weight-loss drugs, and cannabis on spirits spending.
- Distributors succeed with whiskey and vodka by doubling down on mixology-friendly SKUs, balancing premium and accessible offerings and using data to right-size inventories. Supporting on-premise cocktail programs, smaller bottle sizes and targeted flavor innovation help keep these categories central even as growth slows and competition from tequila, RTDs and NA options intensifies.

Tequila, rum and gin respond to premiumization and diverse occasions

- Tequila has been the clear breakout among "secondary" spirits. The Spirits Business reports that agave-based spirits reached about $6.7 billion in US value in 2024, growing roughly 2.9% and widening their lead over American whiskey. Mezcal has grown even faster from a small base, with one source noting a 273% increase in agave volumes since 2003.
- Rum and gin have remained smaller, more segmented categories,

with flavored and spiced variants doing much of the work in rum, while classic and contemporary botanicals drive gin. Penn State Extension highlights the role of flavored white spirits (vodka, rum, tequila) across age groups, underlining that innovation, not just heritage, shapes demand in these segments.

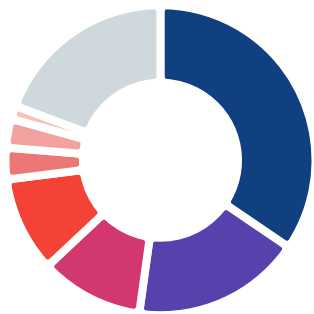
- For wholesalers, tequila's rise has meant re-weighting portfolios toward premium and luxury expressions, celebrity or lifestyle-backed brands and agave-based RTDs. Meanwhile, rum and gin often function as cocktail workhorses: essential to many bar programs but typically lower in overall volume share, requiring disciplined assortment management rather than broad proliferation.
- Distributors that segment these categories by occasion and consumer group—high-end sipping tequilas for collectors, approachable agave and rum for casual cocktails, distinctive gins for craft bars—are better positioned to grow their combined 24–25.0% of revenue in 2026. Cross-merchandising with mixers and NA pairings also helps capture consumers leaning into moderation or lower-ABV options.

RTDs and specialty products diversify the other segment

- The other 19.3% of revenue comes from RTDs, liqueurs, specialty wines and niche spirits. Ready-to-drink alcoholic beverages have been the standout story: Alcohol Professor, citing Circana data, reported that the US RTD category more than tripled between 2018 and 2023 to reach about $10.3 billion in sales.
- IWSR's RTD analysis finds that RTDs' share of total beverage alcohol servings in the US doubled from 4.0% in 2019 to 8.0% in 2024, with Millennials and Gen Z making up 57.0% of RTD consumers and more than half describing themselves as frequent drinkers (at least weekly) by 2025. For wholesalers, that translates into consistent reorders rather than seasonal spikes.
- Alongside RTDs, liqueurs and specialty spirits ride cocktail trends. When espresso martinis, spritzes or spicy Margaritas spike in popularity, demand for coffee liqueurs, bitters and chile-infused products follows. These items rarely dominate a portfolio individually, but in aggregate, they underpin bar programs and incremental high-margin sales for both retail and on-premise.
- Forward-looking wholesalers treat the other segment as an innovation engine rather than a catch-all. Prioritizing high-velocity RTDs, a focused set of core liqueurs and a rotating cast of trend-linked specialties allows them to support fast-changing consumer tastes without over-extending inventory, while using sales data from this segment to inform broader portfolio bets.

Products & Services Segmentation

Industry revenue in 2026 broken down by key product and service lines.



- **Table wine ($50.6bn)** 34.5%
- **Whiskey ($26.0bn)** 17.7%
- **Vodka ($15.8bn)** 10.8%
- **Tequila ($14.7bn)** 10.0%
- **Rum ($4.8bn)** 3.3%
- **Dessert wine ($4.4bn)** 3.0%
- **Gin ($2.1bn)** 1.4%
- **Other wine and spirits ($28.3bn)** 19.3%

IBISWorld

Source: IBISWorld

What are innovations in industry products and services? Very Low

Changes to transportation and storage

- Innovation is limited to transportation and storage systems. Innovation occurs at the manufacturing level, but wholesalers can adjust purchases to supply better-tasting, more popular brands.
- Wholesalers can use supply chain and logistics management tools to efficiently map delivery routes. Meanwhile, AI-powered purchasing systems help distributors predict their customers' needs and reduce overstocking.

Key Success Factors

What products or services do successful businesses offer?

Establishment of brand names

A portfolio of brand-name products helps operators compete for retailer purchases and shelf space in retail stores, restaurant presence and producer attention. Brand names are more recognized and therefore easier for wholesalers to sell.

Effective product promotion

Distributors must effectively market their inventories to retailers and restaurants using value add services, including tastings, wine and food pairings, inventory management and new product development.

Major Markets

What's influencing demand from the industry's markets?

Retailers lean on wholesalers as value and convenience reshape demand

- Retailers remain the industry's economic anchor because the three-tier system routes almost all off-premise wine and spirits volume through licensed wholesalers. Large chains, independent liquor stores and control-state outlets still depend on wholesalers for compliant sourcing, fill-rates and access to national, regional and niche brands.
- From 2021 to 2026, inflation, trading-down behavior and consumer moderation have pressured total category growth, but they have also pushed retailers to lean harder on wholesalers for assortment strategy, sharper price ladders and more "good-better-best" options rather than constant SKU expansion. Wholesalers that can help simplify shelves gain share of this 62.6% segment.
- Convenience, grocery and club channels have become more important buyers as consumers consolidate trips and shift some spending out of traditional liquor stores. Retailers increasingly expect wholesalers to support multi-format execution, from large stores with deep assortments to small boxes where a tight, fast-moving set of SKUs is critical for margin.
- Retail e-commerce and omnichannel shopping (click-and-collect, same-day delivery and marketplace partnerships) have become normalized, giving retailers new ways to extend their shelf without physically expanding space. Wholesalers that integrate inventory visibility, digital content and compliant last-mile solutions help retailers defend share despite softer category growth.

Distributor-to-distributor sales extend reach but squeeze profit

- Sales to other wholesalers largely reflect situations in which national or regional distributors rely on local partners to reach smaller accounts, remote geographies, or customers in control-state borders efficiently. This activity helps broaden brand availability but typically carries thinner profit because multiple intermediaries split economics on the same case.
- Since 2021, the growth of craft and small-batch spirits and niche import wines has supported this channel, as many small producers initially align with specialist or regional wholesalers who then sell on to larger networks. This has kept the segment relevant even as mainstream brands consolidate with mega-distributors.
- Double markup makes these products less price-competitive on the shelf or list, especially as consumers become more price-sensitive and willing to trade down. As a result, wholesalers increasingly scrutinize when secondary wholesaling truly adds reach versus simply layering cost, pruning some legacy arrangements
- To keep this 19.5% slice productive, wholesalers are tightening roles: using secondary partners for clear value-add functions like local last-mile distribution, ethnic or niche-market access, or specialist portfolio management, while shifting core, high-volume brands to more direct, single-wholesaler paths wherever state law allows.

Food service providers rebalance toward experience and higher-margin mixes

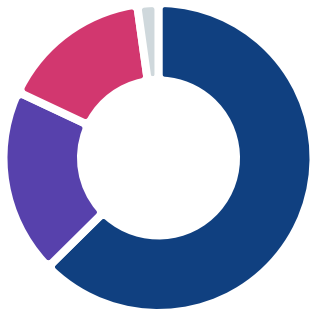
- Hotels, restaurants, bars and similar venues have largely recovered traffic since the pandemic, but visit frequency and check composition look different from pre-pandemic years. Guests are more deliberate about occasions and more willing to trade up on a fewer-drinks night, which favors premium wines, cocktails and spirits for wholesalers.
- Operators facing higher labor and input costs rely on alcohol, especially wine by the glass and cocktails, to protect profit. That makes distributors partners in menu engineering: recommending SKUs that offer strong contribution profit, are operationally simple to execute and fit evolving guest expectations around quality and storytelling.
- Parallel trends toward moderation and wellness mean more accounts are building robust non-alcoholic and low-alcohol lists, from zero-proof cocktails to sophisticated NA spirits and wines. Wholesalers that can supply credible NA portfolios alongside traditional offerings help operators capture this demand without losing total check value.
- Since 2021, many foodservice buyers have also reduced SKU counts to simplify inventory and improve turns, following hard lessons from the pandemic. Distributors that bring data on velocity by channel, season and price point, plus targeted RTD and single-serve options for speed-of-service occasions, are best positioned to defend and grow this 15.8% revenue stream.

Smaller and emerging channels pilot new formats and routes to market

- The other segment includes corporate and institutional buyers, entertainment and sports venues, travel and tourism operators, specialty retailers and nontraditional experiential concepts. While only 2.2% of revenue, this slice often pilots new formats first, such as single-serve wine, premium RTDs or curated tasting kits.
- Many of these customers have leaned into events-driven, experiential consumption—think festivals, stadium suites and corporate hospitality—where portability, speed of service and brand partnerships matter as much as classic category hierarchy. That encourages wholesalers to think in terms of "occasion solutions" rather than pure product catalogues.
- These accounts also tend to experiment more aggressively with hybrid alcoholic and non-alcoholic offerings, as well as with themed programs tied to wellness, local provenance or specific cuisines. Distributors that can assemble modular, event-ready assortments and handle the compliance nuances of multi-jurisdiction events differentiate themselves.
- Because volumes are smaller but profit can be higher, wholesalers increasingly use this channel as an innovation lab: testing new brands, packs and service models before scaling them into mainstream retail or food service. Treating "other" outlets as strategic rather than fringe helps convert a small share of revenue into an outsized source of insight and future growth.

Major Markets Segmentation

Industry revenue in 2026 broken down by key markets



- **Retailers ($91.8bn)** 62.6%
- **Wholesalers ($28.5bn)** 19.4%
- **Food service providers ($23.2bn)** 15.8%
- **Other ($3.2bn)** 2.2%

IBISWorld

Source: IBISWorld

International Trade

Some industries don't directly import or export goods. See reports at the manufacturing level for international trade data on relevant products.

Geographic Breakdown

Key Takeaways

The West turns ports and vineyards into power. California and neighboring states blend massive local production, import hubs and tech-driven logistics, making the region a launchpad for premium brands and digital-first distribution playbooks.

The Southeast rides population and tourism waves. Sun Belt growth, booming hospitality and cruise traffic are turning Florida, Texas and key metros into high-velocity markets where scale distributors with resilient logistics dominate the back bar and shelf.

The Mid-Atlantic thrives on dense, demanding cities. New York, New Jersey and Philadelphia mix heavy import flows with discerning, urban buyers, rewarding wholesalers who can juggle boutique portfolios, complex last-mile logistics and intense compliance.

Business Locations

State	Estab. Units	Estab. %	Revenue $m	Revenue %	Wages $m	Wages %	Employment Units	Employment %	Population %
California	1,558	20.5	25,659.4	17.5	1,851.6	18.0	15,455	14.8	11.5
New York	800	10.5	23,298.3	15.9	1,652.6	16.1	10,100	9.7	5.8
Florida	576	7.6	13,606.8	9.3	808.2	7.9	8,649	8.3	7.0
Texas	481	6.3	10,678.2	7.3	633.9	6.2	8,428	8.1	9.4
Illinois	295	3.9	7,490.1	5.1	507.2	4.9	4,475	4.3	3.7
New Jersey	253	3.3	6,261.9	4.3	500.0	4.9	3,780	3.6	2.8
Georgia	182	2.4	4,760.3	3.2	357.1	3.5	4,377	4.2	3.3
North Carolina	238	3.1	2,044.2	1.4	172.4	1.7	3,138	3.0	3.3
Kentucky	69	0.9	4,516.7	3.1	119.6	1.2	1,419	1.4	1.3
Virginia	206	2.7	1,636.3	1.1	151.6	1.5	2,222	2.1	2.6
Massachusetts	204	2.7	2,605.7	1.8	320.9	3.1	2,591	2.5	2.1
Michigan	101	1.3	3,643.8	2.5	133.5	1.3	2,249	2.2	3.0
Wisconsin	124	1.6	1,949.4	1.3	171.5	1.7	2,603	2.5	1.7
Connecticut	141	1.9	2,538.4	1.7	203.1	2.0	1,864	1.8	1.1
Ohio	149	2.0	2,997.1	2.0	160.0	1.6	2,389	2.3	3.5
Colorado	202	2.7	2,538.0	1.7	198.6	1.9	2,545	2.4	1.8
Nevada	79	1.0	2,653.5	1.8	194.4	1.9	1,846	1.8	1.0
Washington	188	2.5	1,764.0	1.2	177.0	1.7	2,284	2.2	2.3
Maryland	153	2.0	2,566.4	1.8	197.8	1.9	2,157	2.1	1.8
Pennsylvania	168	2.2	1,190.0	0.8	78.1	0.8	1,026	1.0	3.8
Tennessee	116	1.5	2,189.6	1.5	194.1	1.9	2,305	2.2	2.1
Minnesota	96	1.3	2,359.1	1.6	184.9	1.8	1,910	1.8	1.7
Arkansas	29	0.4	2,437.6	1.7	44.6	0.4	746	0.7	0.9
Oregon	136	1.8	734.1	0.5	74.0	0.7	1,358	1.3	1.2
Missouri	110	1.4	1,336.3	0.9	127.2	1.2	1,927	1.8	1.8

State	Estab. Units	Estab. %	Revenue $m	Revenue %	Wages $m	Wages %	Employment Units	Employment %	Population %
Arizona	107	1.4	1,911.7	1.3	164.4	1.6	1,919	1.8	2.2
South Carolina	81	1.1	1,713.9	1.2	110.7	1.1	1,897	1.8	1.6
Indiana	93	1.2	1,250.4	0.9	115.5	1.1	1,585	1.5	2.0
Louisiana	76	1.0	1,515.9	1.0	100.1	1.0	1,725	1.7	1.3
Rhode Island	74	1.0	573.1	0.4	28.3	0.3	404	0.4	0.3
Alabama	51	0.7	911.4	0.6	66.7	0.6	1,083	1.0	1.5
Idaho	69	0.9	276.7	0.2	31.7	0.3	845	0.8	0.6
Oklahoma	38	0.5	848.3	0.6	33.4	0.3	698	0.7	1.2
Kansas	51	0.7	756.5	0.5	54.5	0.5	994	1.0	0.9
Hawaii	51	0.7	511.5	0.3	36.6	0.4	646	0.6	0.4
Nebraska	31	0.4	557.6	0.4	45.9	0.4	856	0.8	0.6
Delaware	41	0.5	668.2	0.5	30.1	0.3	439	0.4	0.3
Iowa	46	0.6	253.8	0.2	21.3	0.2	454	0.4	0.9
Maine	38	0.5	133.0	0.1	13.1	0.1	286	0.3	0.4
New Mexico	26	0.3	387.6	0.3	21.2	0.2	455	0.4	0.6
Mississippi	19	0.3	508.5	0.3	14.7	0.1	254	0.2	0.9
New Hampshire	31	0.4	215.8	0.1	13.2	0.1	152	0.1	0.4
Montana	31	0.4	98.9	0.1	11.8	0.1	334	0.3	0.3
South Dakota	19	0.3	171.7	0.1	12.2	0.1	241	0.2	0.3
West Virginia	26	0.3	83.3	0.1	5.6	0.1	191	0.2	0.5
Vermont	19	0.3	145.9	0.1	13.2	0.1	247	0.2	0.2
Wyoming	9	0.1	164.1	0.1	3.1	0.0	57	0.1	0.2
North Dakota	16	0.2	151.9	0.1	11.6	0.1	208	0.2	0.2
Utah	19	0.3	52.6	0.0	3.2	0.0	69	0.1	1.0
Alaska	9	0.1	20.2	0.0	2.8	0.0	50	0.0	0.2

You can access and download additional years of data, including district-level data, at my.ibisworld.com.

Where are industry businesses located?

The West region leverages port access and wine industry scale to dominate wholesaling

- California leads the nation with 591 unique wine and spirit distributors in 2026, capitalizing on dominant local production, strong import flows through West Coast ports and proximity to national premium wine hubs in Oregon and Washington. This density makes the West an unrivaled gateway for both domestic and imported wine brands.
- Western states draw international suppliers seeking first-entry access to the US via efficient port logistics and large, established distribution networks. Major players use their regional reach to stage national launches, with Southern Glazer's, RNDC and Breakthru combining national portfolios and deep regional specialization to serve both chain and independent clients.
- Portfolio depth is intensified by significant investments in people and expertise; for example, Southern Glazer's enhanced its premium positioning by securing the Edrington portfolio in California and deploying over 1,200 dedicated sales professionals with nearly 1,700 advanced certifications statewide, strengthening its grip on high-value accounts.

- Rising consolidation among mid-sized distributors has driven Western independents to differentiate by focusing on niche products such as small-production wineries, sustainable or organic wines and exclusive regional imports. Success increasingly demands leveraging DTC partnerships, tourism-fueled on-premise sales and agile logistics capabilities tied to port proximity.
- Climate risks, including wildfires and drought in key winegrowing regions, are prompting wholesalers to diversify sourcing and actively scenario-plan inventory strategies. Those able to offer resilient supply continuity gain negotiating strength with brands and retailers alike as weather volatility increases.
- West Coast metros' strong tech sectors foster e-commerce innovation and digital enablement throughout the distribution chain. Wholesalers that embed digital tools for automated ordering, tracking and data-informed category management are better equipped to compete for major chain assignments and optimize product flow, highlighting a widening sophistication gap over smaller local rivals.

The Southeast region rides population, tourism and market diversity to wholesale dominance

- Florida and Texas anchor high distributor concentrations in the Southeast by driving exceptional demand for wine and spirits, amplified by rapid population growth, booming tourism and new on-premise venues across dynamic metros such as Miami, Dallas and Orlando. The region's scale enables robust portfolios and frequent product turnover.
- Accelerated in-migration since 2021, paired with an expanding restaurant, hotel and cruise sector, has spurred volume gains for premium wine and spirits. Large wholesalers with cross-state coverage and deep chains—like Southern Glazer's, RNDC and Breakthru—are ideally positioned to service these high-velocity, multi-channel markets.
- Southern Glazer's leverages its Miami headquarters and Proof digital commerce platform to dominate Southeast supply chains, integrating national, local and Caribbean portfolios. Its regional strength is unmatched, while RNDC and Breakthru reinforce concentrated footprints in Texas and adjacent states, supporting collective share gains among the top distributors.
- The Southeast's rise as a center of cocktail culture and premiumization, especially in Atlanta, Nashville and Tampa, creates opportunities for distributors of both national brands and specialty imports like tequila, rum and craft spirits. Assortments tailored to local culinary and cultural influences build loyalty and mitigate head-to-head price competition.
- Exposure to hurricanes and extreme weather forces wholesalers to continually strengthen logistical resilience, investing in distributed warehousing and agile routing to safeguard supply continuity. Distributors that prioritize proactive storm planning and resilient infrastructure cement their status as trusted partners for retail and hospitality clients.
- Diverse regulatory frameworks—spanning control to open franchised states—compel wholesalers to cultivate regulatory fluency to efficiently navigate territory-specific contract terms, pricing and franchise protections. Wholesalers that build adaptive, compliant operating models are best placed to capitalize on the region's sustained momentum without risking compliance failures.

The Mid-Atlantic region thrives on gateway access and diverse urban distribution

- New York and New Jersey anchor the Mid-Atlantic's distributor density. The region accounts for 17.6% of establishments in 2026, with New York alone accounting for 273 establishments. The region's population and high on-premise sales, along with its status as a top import hub, support robust multi-tier activity and frequent new-product flow.
- New York City's post-pandemic revival and resilient tourism have combined with a vibrant independent retail and fine-dining sector to sustain strong demand for both mainstream and boutique offerings. The area's cosmopolitan palate and turnover of European imports make it essential for wholesalers to mix national brands with curated niche selections.
- Southern Glazer's and Breakthru are expanding their influence while competing with RNDC and local names for supplier contracts, notably after Southern Glazer's 2025 acquisition of Anheuser-Busch's NYC distribution. Such deals fuel the transition to total-beverage distribution and cement scale advantages in metropolitan markets.
- Opportunities for independents abound in Brooklyn, Manhattan and northern New Jersey, where nimble, niche wholesalers thrive by focusing on imported, natural and craft brands—filling gaps that multinationals overlook. Navigating congested ports and urban delivery networks requires logistical agility, which can be a decisive advantage in serving small-format or hard-to-reach accounts.
- Chronic port congestion and urban traffic since 2021 have driven investment in advanced warehousing and delivery platforms. Distributors capable of meeting tight delivery windows and complex last-mile requirements hold greater leverage, as urban retailers prioritize consistency and service quality.
- Increased regulatory scrutiny, especially in New York's enforcement of franchise and fair trade laws, now defines the competitive landscape. Distributors with dedicated compliance infrastructure and transparent, documented sales and promotional practices can differentiate themselves as reliable, lower-risk partners in a heavily policed region.

The Southwest region leverages climate, urban growth and cross-border demand for regional specialization

- The concentration of wine and spirit wholesalers in the Southwest is fueled by Texas's massive consumption market and by rising demand in Arizona and New Mexico. Hot climates and robust tequila, agave spirit and Mexican wine categories heavily influence distributor strategies and portfolio choices.
- From 2021 to 2026, rapid population growth and hospitality investment in metros like Phoenix, Dallas and Houston have increased regional flows of premium spirits, RTDs and Mexican imports. Cross-border trade and Latin American tourism amplify demand for agave-based spirits, shaping route-to-market approaches unique to the Southwest's demographic and consumer dynamics.
- Major distributors such as Southern Glazer's and RNDC dominate multi-state coverage across Texas and adjacent markets, supporting national accounts while leveraging the region's distinct on-premise spirits scene. Strategic supplier alignments often consolidate representation within the Southwest, allowing large wholesalers to influence retailer relationships, category management and in-state launching of new brands.
- Niche players find success by focusing on authentic Mexican and Southwestern heritage labels—such as specialty tequilas, craft

mezcals and local wines from Texas Hill Country and Arizona. These wholesalers integrate multicultural marketing, bilingual service and deep connections with independent retailers and Latin-influenced on-premise venues to differentiate from volume-driven national rivals.

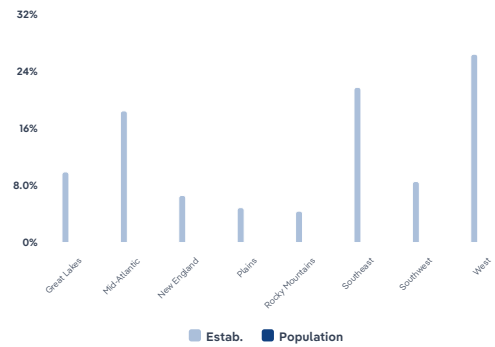
- Extreme heat and water scarcity in southwestern states challenge distributors with unique storage, logistics and event-planning needs. Distributors that invest in temperature-controlled transportation, adaptive warehousing and seasonally adjusted promotion calendars can protect inventory quality and maintain strong service levels during hot spells.
- Continued suburban expansion in Sun Belt cities has created new opportunities for targeting off-premise growth through warehouse clubs, ethnic markets and specialty chains. Distributors that use data-driven corridor mapping and hyperlocal assortment curation build lasting footholds in rapidly changing neighborhoods, creating defensible micro-territories alongside larger regional accounts.

Wine and spirits wholesaler clusters diverge from general wholesalers in coastal and Sun Belt markets

- Wine and spirits wholesalers, while echoing the broader wholesale sector's geographic clusters in the Southeast and West, are more closely aligned with high-consumption corridors, major tourism hubs and states with three-tier-friendly regulatory regimes than with traditional industrial supply chains.
- Unlike general wholesalers, alcohol distributors demonstrate a pronounced coastal bias, concentrating in import-dense states like California, New York and New Jersey. These locations blend port access and vibrant on-premise demand, driving establishment counts far above what manufacturing activity alone would dictate.
- The historic industrial Midwest and Great Lakes areas attract many broadline wholesalers, but wine and spirits specialists flock to states like Florida, California, Texas and Illinois, nudging the industry's footprint toward Sun Belt metros and coastal urban centers. Alcohol's retail and consumer-fueled orientation creates divergences from the broader trade map.
- Regulatory structures reinforce these patterns; control states in the Midwest and Northeast centralize distribution, reducing the number of private wholesalers, while open "permit" states encourage more independent operators and national expansion. The result is a sector more responsive to population movement, tourism and local beverage demand than to legacy industrial geography, amplifying coastal and southern concentration.

West has the largest spread of businesses compared to its population

Share of Estab. (%) vs. share of population (%)



IBISWorld Source: IBISWorld

Key Success Factors

How do businesses use location to their advantage?

Proximity to key markets

It is important to have a location that is close to major suppliers and clients to minimize transport and distribution costs.

Operate in a location that is close to key suppliers

Many wholesalers operate near major wineries and distilleries to promote relationships with suppliers and cut transportation costs.

Competitive Forces

Key Takeaways

Consolidation crowns a few giants. Aggressive M&A and "total beverage" strategies give mega-distributors outsized leverage with both retailers and suppliers, squeezing mid-sized generalists stuck between scale and specialization.

Barriers to entry look low on paper. Licensing, warehouses and fleets seem manageable, but real entry is harder—capital intensity, brand access and regulatory complexity quickly separate casual newcomers from serious contenders.

Buyer and supplier power stay finely balanced. Retailers enjoy more choice and DTC alternatives, while brand owners wield pricing and scarcity; wholesalers survive by mastering inventory, data and relationship management on both sides.

Substitutes quietly chip away at exclusivity. Beer, cannabis, wellness trends and growing DTC carve-outs don't topple the three-tier system, but they steadily erode automatic volume, making advocacy and value-added services non-negotiable.

Concentration	Competition	Barriers to Entry
Low	High Steady	Low Steady
Substitutes	**Buyer Power**	**Supplier Power**
Moderate Increasing	Moderate Increasing	Moderate Increasing

Concentration Low

What impacts the industry's market share concentration?

Aggressive M&A activity reshapes industry concentration in favor of the largest distributors

- Merger and acquisition deals have accelerated across wine and spirits wholesaling since 2021, with giants like Southern Glazer's expanding their territory and product portfolio through high-profile acquisitions. The 2024 purchase of Horizon Beverage removed a key regional player from New England and further consolidated Southern Glazer's footprint, underscoring the shrinking pool of independent distributors.
- Southern Glazer's has blurred category lines, moving beyond wine and spirits with the 2025 acquisition of Anheuser-Busch's New York City distribution network. By bringing beer, spirits-based RTDs and energy drinks under one operational umbrella, it strengthened its leverage with both suppliers and retailers, reinforcing scale advantages at the critical intersection of alcohol distribution.
- The top three distributors controll 25.9% of industry revenue in 2026, down from a post-pandemic peak of 30.4% in 2023, following a surge in consolidation. Acquisitions now have the power to shift national market-share metrics, leaving smaller, family-owned distributors facing mounting competitive and succession pressures.
- Pandemic-driven changes—such as robust e-commerce and off-premise growth—helped drive valuations higher and made selling out more attractive for regional operators. Abundant capital and low interest rates further accelerated deal activity, producing a more concentrated but less diverse wholesale tier than existed just a few years prior.

Portfolio breadth and digital platforms drive gains for the largest distributors

- The largest wholesalers have gained share by expanding their product portfolios to include a vast array of wines, major spirits, RTDs, beer and emerging no- or low-alcohol options. The one-stop shop capability appeals to national retail and on-premise chains seeking transactional simplicity and tailored supply solutions.
- Southern Glazer's has linked portfolio expansion to digital commerce, growing its SG Proof platform into a robust mobile ordering and data-driven recommendation tool. This integration attracts suppliers seeking national reach and enables personalized marketing to retail clients, solidifying purchasing loyalty and reinforcing the company's dominance.
- SKU proliferation and niche category growth have created defensive strongholds for smaller and regional specialists who focus on small-batch, organic, or highly allocated imports that large wholesalers overlook. These players secure key independent accounts by offering unique products and high-touch service, thriving in segments where authenticity and curation matter most.
- Despite direct-to-consumer advances, state regulation keeps most volume in the three-tier system and as the largest distributors extend their reach into private label, non-alcoholic and service-intensive offerings, they edge out smaller generalist wholesalers. The evolving regulatory and consumer landscape amplifies the

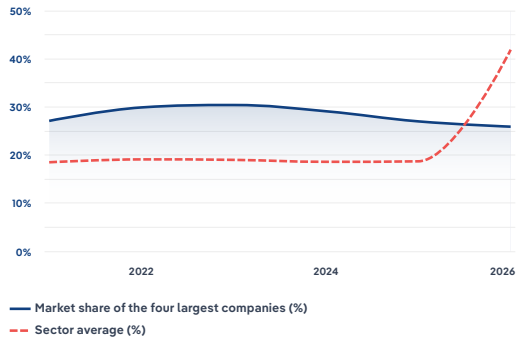
twin poles of scale-driven consolidation and niche specialization, squeezing the middle tier.

Private-label and total beverage models cement top distributor dominance

- The proliferation of private-label and exclusive brands since 2021 has strengthened the largest wholesalers' negotiating positions, as retailers entrust them with end-to-end sourcing, compliance and tailored program execution. These relationships increasingly lead to multi-year commitments that are more difficult for smaller generalists to secure.
- National and regional retail chains have expanded private-label wine lines and exclusive brands, benefiting from wholesaler partners who can bundle custom SKUs with established portfolios. This bundling deepens contractual ties and supports chain-wide category management, channeling more share to scaled distributors with the infrastructure to serve complex, multi-state needs.
- As major wholesalers pivot to total beverage strategies, retailers consolidate suppliers to efficiently manage broad assortments. Southern Glazer's acquisition of Anheuser-Busch's NYC arm is a prime example of cross-category consolidation, concentrating leverage in urban markets.
- With the largest players driving assortment strategies and full-category offerings, smaller wholesalers that cannot compete on breadth or design bespoke retail brands are increasingly forced to differentiate through ultra-specialized or service-heavy models, curbing their share of national volume as scale-driven retail partnerships intensify.

Market Share Concentration

Combined market share of the four largest companies in this industry



IBISWorld Source: IBISWorld

Key Success Factors

How do successful businesses handle concentration?

Market differentiated products

To succeed in a concentrated market, distributors must effectively market their unique inventories to retailers and restaurants. Value-added services like tastings, wine and food pairings, inventory management and new product development play a crucial role.

Leverage product design, quality and brand strengths

A portfolio of brand-name products helps wine and spirits wholesalers compete for retailer purchases and shelf space in retail stores, restaurant presence and producer attention. Brand names are more recognized and easier for wholesalers to sell.

Barriers to Entry

Low Steady

What challenges do potential industry entrants face?

Legal

- Wine and spirits wholesalers must acquire contracts with producers and supply agreements with retailers. Companies must also obtain licenses to distribute wine and spirits; these regulations vary significantly by state. These regulations make it more complicated for distributors to operate across multiple states.

Differentiation

- Wholesalers differentiate through the breadth of their product offerings, marketing and customer service. Long-standing supply contracts can help companies reduce uncertainty and create stable reputations. Establishing contracts with craft distilleries and small wineries can give new distributors a competitive advantage.

Start-up costs

- Initial capital investments include warehouses, distribution and logistics systems and vehicle fleets. Larger companies with broader geographic footprints often make greater capital investments. New distributors also need capital to purchase initial inventory to provide fast service once their first orders arrive.

Labor Expenses

- Wholesalers require labor for several core functions, including sales, account management, buying, case picking and shipping. Increased automation has decreased labor intensity while increasing capital costs for wholesalers. Many wholesalers use part-time labor to increase payroll flexibility.

Capital Expenses

- Substantial capital investments in climate-controlled warehouses, delivery fleets and advanced inventory systems create significant barriers to entry for new wine and spirit wholesalers. Securing regulatory compliance, acquiring licensed facilities and funding initial inventory further escalate startup costs, limiting market access to well-capitalized entrants and reinforcing established player dominance.

Key Success Factors

How can potential entrants overcome barriers to entry?

Comply with government regulations

Alcohol industries are closely regulated. While some laws aid distributors, others are largely intended to control and reduce alcohol sales. Wholesalers must ensure compliance to avoid legal complications.

Secure access to well-established brand names

A portfolio of brand-name products helps operators compete for retailer purchases and shelf space in retail stores, restaurant presence and producer attention. Brand names are more recognized and easier for wholesalers to sell.

Substitutes

Moderate | Increasing

What are substitutes for industry services?

Direct-to-consumer practices

- Exceptions to the three-tier alcohol distribution system—such as direct-to-consumer (DTC) sales from producers or regulatory waivers—let wineries and distillers bypass traditional wholesalers, reducing industry exclusivity and creating competitive risk. These carve-outs are expanding, especially in states with flexible DTC laws or special retail procurement rules.
- Retailers in some regions can purchase directly from local or out-of-state producers, though often at higher tax rates or with volume limits. While these routes still primarily serve niche or premium markets, each regulatory change or pilot program—such as Washington's retailer-direct provisions—demonstrates the growing viability of alternative supply channels.
- For wholesalers, the continued spread of DTC and producer-retailer exceptions puts pressure on volumes and pricing. This trend requires lobbying and relationship-building with producers and policymakers to sustain core market roles as exceptions to the three-tier model proliferate.

Beer wholesaling

- Beer remains a robust substitute for wine and spirits, especially during economic downturns, when price-sensitive consumers shift their purchases to lower-cost alcoholic beverages. Beer's lower regulatory burden and widespread availability enhance its competitive positioning in retail and on-premise settings.
- The distinct consumption profiles for beer, wine and spirits—driven by differences in alcohol content, cultural associations and marketing—limit perfect substitutability, yet overlaps persist. Fluctuations in consumer preferences, health trends, or events like craft beer booms can readily redirect category spending.
- Wine and spirits wholesalers must closely monitor cross-category dynamics, using targeted promotions and brand partnerships to mitigate substitution losses. Coordinating distribution strategies with evolving consumer occasion preferences supports margin resilience as category boundaries blur.

Key Success Factors

How do successful businesses compete with substitutes?

Promote products effectively

Distributors must effectively market their inventories to retailers and restaurants using value-added services, including tastings, wine and food pairings, inventory management and new product development.

Establish brand names

A portfolio of brand-name products helps operators compete for retailer purchases and shelf space in retail stores, restaurant presence and producer attention. Brand names are more recognized and easier for wholesalers to sell.

Buyer & Supplier Power

IBISWorld

Source: IBISWorld

What power do buyers and suppliers have over the industry?

Moderate | Increasing

Buyers: fragmentation and DTC give retailers greater power

- Fragmentation among wine and spirits wholesalers, combined with a steady rise in direct-to-consumer sales, has given retail and hospitality buyers enhanced leverage. With more distributor choices and alternative channels, buyers can negotiate better pricing and terms or split their business among multiple suppliers to optimize costs.
- Despite this, many buyers—including large retailers and restaurants—continue to prefer single-supplier relationships that streamline logistics and offer volume rebates or tailored support. These agreements provide wholesalers a stabilizing influence, reducing buyer churn and mitigating some bargaining pressure.
- Buyer power stays moderate overall. Greater market options push wholesalers to remain competitive, yet the logistical efficiencies and partnership incentives of consolidated supply agreements prevent wholesale influence from eroding entirely, maintaining a delicate balance within the purchasing dynamic.

Moderate | Increasing

Suppliers: pricing power and brand preference

- Wine and spirits wholesalers remain heavily dependent on producers and manufacturers for core product supply and volatility in agricultural input costs—such as grains and grapes—directly impacts wholesale purchase prices. Suppliers often pass these increased costs downstream, leveraging broader market conditions to preserve their own profit.
- Supplier power is amplified by strong consumer loyalty to established brands, limiting wholesalers' ability to switch or diversify their portfolio in response to rising costs or unfavorable contract terms. Brand exclusivity and limited allocations on high-demand labels constrain wholesalers' negotiation leverage.
- Fluctuating input costs and entrenched brand dynamics enable suppliers to dictate pricing and supply conditions, compressing wholesalers' profit and compelling more sophisticated hedging, inventory management and supplier relationship strategies to sustain profitability.

Key Success Factors

How do successful businesses manage buyer & supplier power?

Ability to control stock on hand

Distributors typically warehouse 60 to 90 days of product inventory. Companies must control inventory levels to ensure that products are selling and to reduce warehousing costs.

Develop an extensive distribution network

Wholesalers must acquire supply from a wide range of successful and well-known liquor and wine brands to remain successful.

Companies

Key Takeaways

Southern Glazer's doubles down on future-ready operations. It's pouring effort into AI-driven logistics, greener fleets and revamped service models so it can move faster, smarter and cleaner than rivals.

RNDC leans into luxury wine. Its expanded alliance with Treasury Wine Estates gives it more high-end labels to champion, turning everyday shelves and lists into showcases for prestige bottles and aspirational brands.

Breakthru makes a bold California play. Buying Wine Warehouse drops it straight into the country's most coveted premium wine and spirits territory with ready-made ties to top restaurants and specialty shops.

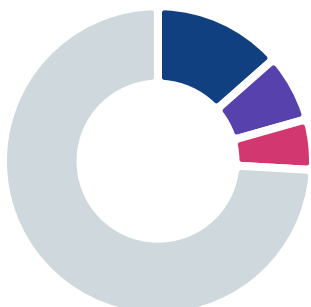
Major Players

Company	Revenue	Market Share
Southern Glazer's Wine And Spirits, Llc	$19.8bn	13.5%
Republic National Distributing Company, Llc	$10.3bn	7.1%
Breakthru Beverage Group, Llc	$7.8bn	5.3%
Other Companies	$108.7bn	74.1%

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue



- Southern Glazer's Wine And Spirits, Llc ($19.8bn) 13.5%
- Republic National Distributing Company, Llc ($10.3bn) 7.1%
- Breakthru Beverage Group, Llc ($7.8bn) 5.3%
- Other Companies ($108.7bn) 74.1%

IBISWorld

Source: IBISWorld

Companies

Company	Market Share (%) 2026	Revenue ($m) 2026	Profit ($m) 2026	Profit Margin (%) 2026
Southern Glazer's Wine And Spirits, Llc	13.5 ↘	19,825.4 ↗	1,386.1 ↘	7.0 ↘
Republic National Distributing Company, Llc	7.1 ↘	10,349.0 ↘	723.5 ↘	7.0 ↘
Breakthru Beverage Group, Llc	5.3 ↗	7,773.7 ↗	543.5 ↗	7.0 ↘

Southern Glazer's Wine And Spirits, Llc

Company Details

Industry Specific Revenue (2026)	$19.8bn
Industry Profit (2026)	$1.4bn
Company Employees (2026)	24,000
Market Share (2026)	13.5%

Description

Southern Glazer's Wine And Spirits is a private company with an estimated 24,000 employees. In the US, the company has a notable market share in at least one industry: Wine & Spirits Wholesaling, where they account for an estimated 16.9% of total industry revenue.

Brands & Trading Names

- Craft Collection Luxury Spirits
- Domaine & Estates Artisanal Wines
- Signature Fine Wines & Spirits

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)	Profit ($m)	Profit Margin (%)
2021	13.7	16,802.1	1,470.8	8.8
2022	15.9	20,015.0	1,757.4	8.8
2023	15.9	20,852.0	1,407.0	6.7
2024	15.4	20,904.0	1,356.4	6.5
2025	14.2	20,050.0	1,341.7	6.7
2026	13.5	19,825.4	1,386.1	7.0

What's impacting Southern Glazer's Wine And Spirits, Llc's performance?

Southern Glazer's invests heavily to future-proof its operations by 2030

- Southern Glazer's invests in advanced logistics technologies, including AI and automation. The company is opening new distribution centers and upgrading its vehicle fleet to enhance efficiency and reduce environmental impact. The company is also retooling its route to market strategy and service models, adding over 375 new roles in crucial markets. This repositioning aims to boost commercial sales and strengthen relationships with convenience stores and national accounts. Under new leadership, Southern Glazer's is building a robust 350-member digital team. This initiative focuses on creating cutting-edge digital solutions to empower team members, suppliers and customers with leading data and platforms.

Southern Glazer's expands partnership with Freixenet Mionetto USA, boosting sparkling wine market reach

- Southern Glazer's Wine & Spirits has renewed and expanded its distribution agreement with Freixenet Mionetto USA, marking a strategic shift towards enhancing brand presence across 33 markets. This development underscores a growing trend in the sparkling wine segment, as both companies aim to meet evolving consumer demands with improved market alignment and efficiency. By introducing several new brands across 18 markets and leveraging Southern Glazer's robust distribution network, the partnership seeks to achieve deeper market penetration and cater to changing consumer preferences.

Republic National Distributing Company, Llc

Company Details

Industry Specific Revenue (2026)	$10.3bn
Industry Profit (2026)	$723.5m
Company Employees (2026)	14,000
Market Share (2026)	7.1%

Description

Republic National Distributing Company is a private company with an estimated 14,000 employees. In the US, the company has a notable market share in at least one industry: Wine & Spirits Wholesaling, where they account for an estimated 7.6% of total industry revenue.

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)	Profit ($m)	Profit Margin (%)
2021	9.7	11,888.1	1,040.7	8.8
2022	9.6	12,087.9	1,061.3	8.8
2023	9.7	12,787.2	862.9	6.7
2024	8.1	10,989.0	713.1	6.5
2025	7.4	10,489.5	701.9	6.7
2026	7.1	10,349.0	723.5	7.0

What's impacting Republic National Distributing Company, Llc's performance?

Republic National Distributing Company partners with Treasury Wine Estates to expand its market presence

- Republic National Distributing Company (RNDC) and Treasury Wine Estates (TWE) expanded their partnership starting July 1, 2024. RNDC now distributes TWE's luxury and premium wine brands, including DAOU Vineyards, across 23 states. This move strengthens RNDC's market presence and brings top wines like Penfolds and Beaulieu Vineyard to more consumers, setting new standards in the US luxury wine market.

RNDC Expands Idaho Footprint with Strategic Acquisition of Idaho Wine Merchant

- Republic National Distributing Company enhances its Idaho presence by acquiring Idaho Wine Merchant through its subsidiary, Hayden Beverage, effective August 31, 2024. This move aligns with Hayden's goal to be the top distributor in the Northwest, offering diverse products from value wines to luxury beverages. The integration will maintain distinct teams, focus on operational efficiency and improve customer service, positioning both companies for future growth and success in the competitive beverage market.

Breakthru Beverage Group, Llc

Company Details

Industry Specific Revenue (2026)	$7.8bn
Industry Profit (2026)	$543.5m
Company Employees (2026)	10,000
Market Share (2026)	5.3%

Description

Breakthru Beverage is a private company with an estimated 10,000 employees. In the US, the company has a notable market share in at least one industry: Wine & Spirits Wholesaling, where they account for an estimated 6.1% of total industry revenue.

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)	Profit ($m)	Profit Margin (%)
2021	3.7	4,534.9	397.0	8.8
2022	4.3	5,441.9	477.8	8.8
2023	4.8	6,348.8	428.4	6.7
2024	5.7	7,709.7	500.3	6.5
2025	5.4	7,709.3	515.9	6.7
2026	5.3	7,773.7	543.5	7.0

What's impacting Breakthru Beverage Group, Llc's performance?

Breakthru Beverage Group LLC announced new President and CEO

- On August 31, 2021, Breakthru Beverage Group announced it had appointed Tom Bene as its newest President and CEO. Bene's previous experience as the CEO of food-based companies such as the National Restaurant Association and Sysco Corporation will help support the company's current business model in the beverage industry.

Breakthru Beverage Group LLC acquired Major Brands

- On January 5, 2022, Breakthru Beverage Group LLC signed an agreement to buy Major Brands, a wholesale distributor of alcoholic and non-alcoholic beverages. The acquisition has helped grow the company's operations in the Midwest region, where Major Brands is mainly based.

You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Macro wallets set the speed limit. Per capita spending, disposable income and overall consumer outlays largely determine how much room wholesalers have to grow, turning the category into a mirror of the broader economy with a premium twist.

Policy keeps wholesalers central but exposed. The three-tier system, excise taxes and franchise laws protect the middle tier, yet evolving DTC rules and trade measures can quickly reshape costs, profit and access if operators aren't vigilant.

Regulation turns compliance into strategy. Federal permits, state ABC rules, trade-practice limits and workplace standards mean missteps can halt operations—making strong compliance teams as critical as any sales force.

Public and private support sharpen the edge. SBA loans, USDA rural programs, trade associations and data platforms give savvy wholesalers tools to modernize fleets and warehouses and gain market insight, deepening the gap with less-connected rivals.

Regulation & Policy
Moderate Steady

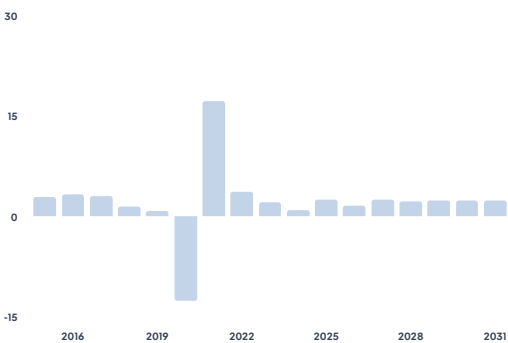
Assistance
Moderate Steady

External Drivers

What demographic and macroeconomic factors impact the industry?

Per capita expenditure on alcohol

Growth

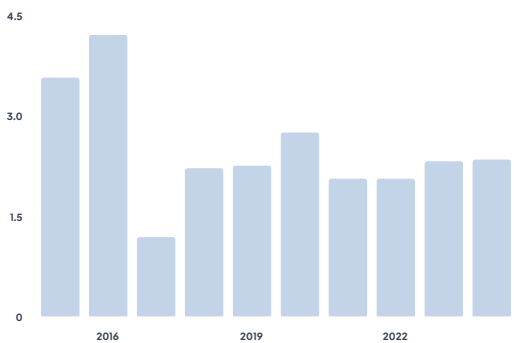


IBISWorld Source: IBISWorld

Per capita expenditure on alcohol measures the level of spending on alcoholic products by consumers. Demand at the wholesale level is driven by demand at the retail level, measured by expenditure. Climbing per capita alcohol expenditure will create opportunities for wine and spirits wholesalers.

Demand from beer, wine and liquor stores

Growth

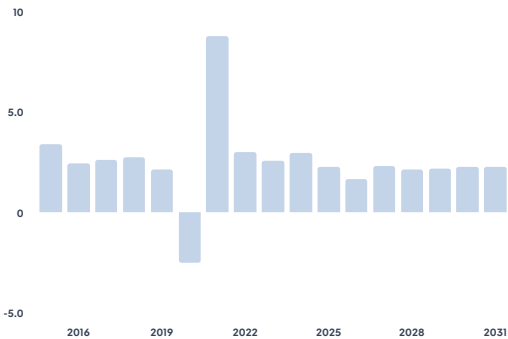


IBISWorld Source: IBISWorld

Wine and spirit sales in liquor stores, supermarkets, specialty stores and other alcohol retailers stimulate demand for the wholesale industry. Since retail establishments must purchase from licensed wholesalers, greater demand from beer, wine and liquor stores directly translates to demand for related products and services.

Consumer spending

Growth

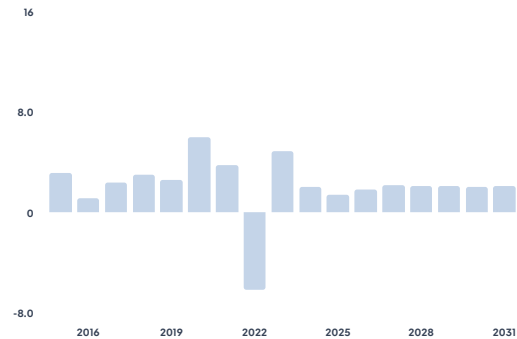


IBISWorld Source: IBISWorld

Consumer spending, formally personal consumption expenditure, measures the total amount US consumers spend on services and new goods and net purchases of used goods, both domestically and abroad. Higher consumer spending levels often signal a willingness to spend on leisure and entertainment items, like alcohol.

Per capita disposable income

Growth



IBISWorld Source: IBISWorld

Per capita disposable income represents the personal income available for spending or saving. Rising per capita disposable income contributes to increased demand for wine and spirits at the retail level, generating demand for wholesalers. When individuals have more disposable income, they are more likely to purchase higher volumes and higher value brands, driving revenue growth. Economic uncertainty has limited per capita disposable income, posing a threat to wholesalers.

Regulation & Policy

Moderate | Steady

What regulations impact the industry?

Federal Alcohol Administration Act

The Federal Alcohol Administration Act (FAAA) governs the legal foundation for wine and spirits wholesalers, requiring every operator engaged in interstate or foreign commerce to maintain a federal basic permit administered by the Alcohol and Tobacco Tax and Trade Bureau (TTB). Securing and preserving this permit is essential, as it regulates who may legally purchase or sell beverage alcohol wholesale and empowers TTB to suspend or revoke permits for violations, such as failing to maintain records or engaging in prohibited trade practices. Best compliance practices include centralizing permit documents, promptly notifying TTB of any change in ownership or management and conducting routine internal audits to ensure accuracy. Assigning a dedicated compliance officer or external counsel to review TTB guidance and foster a culture of record keeping and responsible sales conduct is crucial; losing the basic permit essentially halts all legal wholesale activity across state lines.

TTB Wholesaler Requirements: Permits, Records and Trade Practices

TTB regulations impose specific obligations on wine and spirits wholesalers that go far beyond merely holding a basic permit. Wholesalers must secure a TTB Wholesaler's Basic Permit before engaging in domestic or export resale. They must remain compliant by maintaining daily records of the physical receipts and dispositions of all alcoholic products. These records must be kept on-site for at least 3 years and support any transactions recorded in books and invoices. TTB enforcement includes audits and penalties for missing or inadequate records and can threaten a wholesaler's ability to operate altogether. To reduce risk, operators adopt warehouse management or ERP systems for real-time tracking, ensure daily reconciliation of inventory movements and regularly audit both system and physical stock. On trade practices, wholesalers must train staff to avoid illegal incentives to retailers, exclusivity deals, or consignment sales. Coordination with state ABC rules, especially for promotions and sales policies, is equally essential for full compliance.

State Alcohol Beverage Control Laws and the Three-Tier System

State Alcohol Beverage Control (ABC) laws, grounded in the three-tier system, dictate how wine and spirits move from producers to wholesalers to retailers. Each state's ABC board sets unique licensing and operational requirements, including which products a wholesaler can carry and whether a physical in-state warehouse is required. In "control" states, the state may act as the exclusive wholesaler for spirits, while private wholesalers still operate under strict guidelines for wine and beer. Operational compliance means knowing sourcing rules, "come to rest" periods—like Delaware's 18-hour warehousing mandate—and state-by-state variation in licensing or label registration. Multi-state

wholesalers must customize logistics, reporting and compliance programs for every state, training staff to avoid violations that can cost licenses or trigger heavy fines.

State Franchise and Distribution Relationship Laws

State franchise and distribution laws shape how wine and spirits wholesalers interact with suppliers, often granting wholesalers protections that make contracts harder to terminate and ensure network stability. Many states require "good cause" and advance notice for supplier-initiated distributor changes, with exclusive territories and mandatory brand assignments common. Enforcement occurs through ABC agencies and courts, with some states like Kansas and Kentucky enforcing strong franchise rules while others like Illinois use registration-based systems. Wholesalers must track which states require franchise protections, tailor contracts to comply with notice, territory and brand registration requirements and maintain detailed performance and compliance records. Careful contract drafting and territory management reduce litigation risk and support long-term supplier relationships, especially in restrictive franchise states.

Federal Trade Practices & Antitrust: Robinson-Patman Act and FTC Enforcement

Federal antitrust and unfair competition laws, including the Robinson-Patman Act (RPA), are increasingly relevant for wine and spirits wholesalers, especially with heightened FTC enforcement. The RPA prohibits discriminatory pricing between competing retailers and major wholesalers like Southern Glazer's have faced high-profile enforcement actions for favoring large chains over small retailers with discounts or rebates. To comply, wholesalers should standardize discount schedules, document objective criteria for price tiers and ensure promotional programs are reasonably accessible to all customers. Coordination between RPA compliance and alcohol-specific rules is essential, as aggressive discounts can also raise TTB concerns. Regular legal review, staff training and internal audits are necessary to manage risk and avoid costly investigations or penalties.

OSHA & Workplace Safety for Warehouses and Drivers

OSHA regulations play a critical role in the daily operations of wine and spirits wholesalers by setting strict workplace safety standards for warehouses and transportation fleets. Wholesalers must address hazards such as obstructed exits, damaged racks, forklift safety and chemical handling to remain compliant and avoid fines. OSHA enforcement in beverage distribution is active, with real-world citations arising from unsafe racks or poor hazard communication. Best practices include regular equipment inspections, thorough safety training for all employees, documented emergency procedures and maintaining up-to-date Safety Data Sheets (SDS) for chemicals. Implementing comprehensive safety protocols—such as quarterly rack checks and biannual forklift recertification—both reduces risk and demonstrates due diligence if OSHA conducts an inspection.

Labeling & Product Compliance: TTB vs. FDA

Wholesalers are legally responsible for distributing only properly labeled, compliant alcoholic beverages—falling under TTB rules for products at or above 7% ABV and FDA rules for lower-alcohol drinks. Most wine and spirits require TTB-approved labeling through the Certificate of Label Approval (COLA), which mandates details such as brand name, alcohol content and health warnings. Failure to check labels can implicate wholesalers if misbranded goods enter commerce. Compliance steps include verifying COLA documentation for each SKU, spot-checking product labels on receipt and keeping organized records. When labeling issues emerge, products should be quarantined and corrective action coordinated with suppliers. Aligning federal requirements with state label registration and ongoing employee training is crucial for risk management.

Employment & Wage-Hour Compliance (FLSA and Related Rules)

Wine and spirits wholesalers must rigorously comply with the Fair Labor Standards Act (FLSA) and parallel state employment laws on minimum wage, overtime and worker classification. Issues such as misclassifying sales reps or failing to pay overtime to warehouse staff are common sources of violations. Best practices include a position-by-position review of exempt versus non-exempt status, implementing reliable timekeeping systems and paying overtime as required. Management must be trained to accurately track all hours worked, including training and safety meetings and to avoid any "off-the-clock" labor. Maintaining a state-by-state compliance matrix for wage-hour rules and regularly auditing pay practices protects wholesalers from costly enforcement actions and employment lawsuits.

Assistance

Moderate | Steady

What assistance is available to this industry?

Government
SBA lending and disaster assistance

SBA-backed financing remains a critical resource for wine and spirit wholesalers navigating both routine operations and unexpected disruptions. Through 7(a) and 504 loan programs, wholesalers secure working capital, inventory funding, and long-term real estate or equipment investments at lower interest rates and with more flexible terms than conventional loans. In practice, distributors often layer 7(a) funds for seasonal inventory with 504-backed capital for distribution center expansions. When disaster strikes—such as hurricanes or supply

chain disruptions—EIDL aid helps cover essential expenses and maintain payroll until normal operations resume. Distributors benefit most by collaborating with SBA-savvy lenders who can structure proposals and prepare financials in line with agency requirements, ensuring smooth approval and effective use of assistance for both growth and resilience.

Government
USDA Rural Development programs

USDA Rural Development programs provide a suite of financial tools that wine and spirit wholesalers in rural areas use to expand infrastructure and modernize operations. The Business & Industry (B&I) loan guarantees allow rural wholesalers to secure favorable bank financing for building or renovating distribution centers, while Rural Business Development Grants (RBDG) fund feasibility studies and technical training that underpin long-range market expansion and cooperative ventures. Energy and cold-chain grants through REAP or RFSI help offset the costs of upgrading refrigerated warehouses or adopting renewable energy, reducing long-term operating expenses. Distributors maximize these benefits by demonstrating local economic impact and employment gains in their project plans and by engaging early with USDA Rural Development offices to align proposals with rural grant priorities and timelines.

Government
Economic Development Administration (EDA) grants and technical assistance

EDA grants and technical assistance open the door for wine and spirit wholesalers to participate in large-scale infrastructure upgrades vital to long-term growth. By collaborating with local governments or port authorities, distributors can access funding for site development—such as new rail spurs, utility extensions, or cold-storage facilities—that lowers upfront costs for new distribution centers and logistics hubs. EDA support also includes technical assistance to strengthen business cases and streamline permitting, accelerating project timelines. As these grants are competitive, wholesalers improve their chances by aligning their proposals with EDA investment priorities, such as infrastructure modernization, local workforce development and economic resilience and by ensuring project benefits extend beyond individual distributors and support broader community revitalization.

Government
State and local incentives

State and local incentive programs—such as property tax abatements, job creation credits, sales tax exemptions and site preparation grants—play a decisive role in lowering the cost of major distribution projects for wine and spirit wholesalers. Operators routinely work with municipal development agencies to secure customized packages that directly reduce upfront capital outlays or ongoing operating expenses. These incentives can influence where a new distribution center or warehouse is located, as wholesalers often compare offers across regions and layer them with federal assistance for maximum financial impact. Negotiating robust agreements, ideally with input from professional site-selection consultants and performance-based clawback clauses, ensures that both the business and the community benefit throughout the project's life cycle.

Government
Workforce and training funding

Workforce and training funding from programs like Department of Labor (DOL) grants, Workforce Innovation and Opportunity Act (WIOA) funds and registered apprenticeship initiatives substantially offset employer costs for hiring and developing talent. Wine and spirit wholesalers use these resources to subsidize the recruitment and upskilling of logistics staff—forklift operators, warehouse technicians and delivery drivers—helping them stay competitive in tight labor markets. Participation in state-supported apprenticeship grants or wage reimbursement programs not only reduces labor costs but also shapes where companies choose to expand or invest. By partnering with community colleges and local workforce boards, distributors can tailor apprenticeship programs to qualify for maximum funding and ensure a steady pipeline of skilled workers.

Non-government
Wine & Spirits Wholesalers of America (WSWA)

The Wine & Spirits Wholesalers of America (WSWA) serves as the national trade association championing the interests of wine and spirits distributors, delivering resources that directly impact daily operations and long-term strategy. Wholesalers leverage WSWA's proprietary SipSource depletion analytics for real-time market intelligence that shapes inventory planning, assortment selection and pricing strategies. Participation in the annual Access LIVE conference connects wholesalers with suppliers, fostering robust negotiations and partnerships while providing a forum for education on evolving industry standards. WSWA's advocacy also amplifies distributors' voices in federal and state legislative debates, helping shape regulatory environments that fuel market access, compliance and commercial opportunity. Membership ensures access to vital data, networking, and policy influence that no individual operator could achieve on their own.

Non-government
Distilled Spirits Council (DISCUS)

The Distilled Spirits Council (DISCUS) is the primary national advocate for distilled-spirits producers, wielding significant influence over the policy and regulatory frameworks that directly impact wine and spirits wholesalers. DISCUS shapes federal and state policy on trade, tariffs

and labeling, guiding the broader landscape in which wholesalers operate and negotiate supply arrangements. Distributors frequently monitor DISCUS's evolving policy positions and collaborate on state market-modernization campaigns to stay aligned with supply-side initiatives. By leveraging DISCUS research and market data, wholesalers gain critical insights to negotiate supplier contracts and prepare for shifts in sourcing, compliance and competitive strategy, making engagement with the council a strategic necessity for navigating regulatory change.

Non-government
Asset-based lending (ABL)

Asset-based lending (ABL) offers wine and spirit wholesalers a dynamic line of credit secured against inventory, accounts receivable and sometimes equipment. This facility provides access to revolving liquidity that naturally scales with working capital needs, particularly during ramp-ups for peak sales seasons or rapid expansion phases. By pledging eligible inventory and receivables, distributors can bridge seasonal cashflow gaps and fund larger inventory builds without extending long-term debt or diluting ownership. ABL solutions require disciplined controls over AR aging and inventory management, with lenders imposing routine audits and monitoring. Risks include fluctuating advance rates and “haircuts” to borrowing base values during downturns, making continuous operational transparency and reporting essential for maximizing available funds.

Non-government
National Alcohol Beverage Control Association (NABCA)

The National Alcohol Beverage Control Association (NABCA) is the leading association for US control states—jurisdictions that regulate and often directly operate the wholesale and retail alcohol supply chain. For wine and spirits wholesalers, NABCA provides up-to-date policy research, regulatory best practices and detailed data on the system rules governing access, procurement and inventory management in these markets. Wholesalers rely on NABCA insights to navigate complex control-state compliance requirements, understand inventory flow restrictions and develop tailored entry or negotiation strategies for public distribution systems. Engaging with NABCA is essential for successfully expanding or optimizing operations within the nearly 20 states that maintain alcohol control models.

Financial Benchmarks

Key Takeaways

Purchases dominate the cost conversation. With product costs swallowing most of each revenue dollar, even small shifts in category mix, supplier terms or input inflation ripple straight through to profit and strategic flexibility.

Labor costs evolve, not explode. Automation trims some manual roles, but distributors reinvest in higher-skilled sales and logistics talent, turning wage bills into a bet on service quality and tech-enabled execution rather than pure headcount.

Depreciation tells a quiet modernization story. Rising write-offs on fleets, climate-controlled warehouses and automation hint at a sector quietly upgrading its backbone to handle premium inventory and tighter delivery expectations.

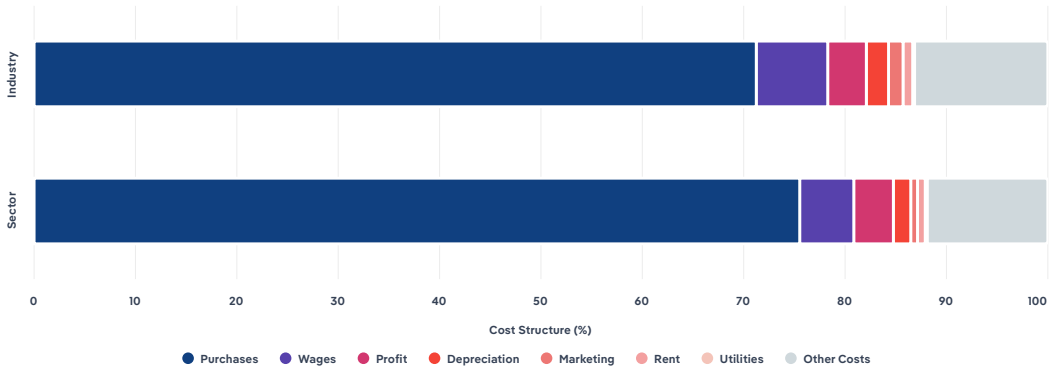
Profit Margin
3.8 % Lower than sector

Average Wage
$98,383 Higher than sector

Largest Cost
Purchases 71.3% of Revenue

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2026



IBISWorld

Source: IBISWorld

Cost Structure Benchmarks

Operating costs	Industry (%)	Sector (%)
Purchases	71.3	75.57
Contracted labor	0.2	-
Other	99.8	-
Wages	7	5.38
Commissions	2.4	-
Other	97.6	-
Profit	3.8	3.84
Depreciation	2.2	1.70

Operating costs	Industry (%)	Sector (%)
Marketing	1.5	0.72
Rent	0.9	0.74
Machinery and equipment	25	-
Land, Building and Structure	75	-
Other	0	-
Utilities	0.2	0.23
Other Costs	13.1	11.82
Repair and Maintenance	3	-
IT services and related spend	0.4	-
Distribution & Warehousing	4.5	-
Research and Development	4.4	-
Telecommunications	1	-
Other	86.7	-

What trends impact industry costs?

Purchase cost ratios for wine and spirits wholesalers remain steady

- Purchase costs as a percentage of revenue have remained tightly clustered between 70.9% and 71.7% from 2021 to 2026, reflecting remarkable stability in input pricing for wine and spirits wholesalers. This challenges prior concerns that inflation has been persistently pushing up capital outlays for product inventory and transportation.
- Transportation costs, heavily affected by fuel prices, have moderated since the initial post-pandemic spike, as evidenced by diesel prices declining by 15.4% in 2023 and by further drops through 2026. This reduction in delivery expenses has cushioned wholesalers from potential jumps in overall purchase costs and supported margin preservation initiatives.
- Stable purchase cost ratios also indicate successful inventory management and pricing negotiations with suppliers. Wholesalers increasingly leverage digital demand forecasting and real-time sales analytics to align purchases with evolving consumer preferences, while maintaining cost discipline as revenue composition shifts with the rise of alternative alcoholic and non-alcoholic beverages.

Tech-driven efficiency stabilizes wage costs for wine and spirits wholesalers

- Wages as a share of revenue have risen from 6.5% in 2021 to 7.1% in 2024 before leveling off at 7.0% through 2026, reflecting stable but slightly elevated labor cost pressure. Despite ongoing automation of inventory and order processing, this increase signals both a tight labor market and a strategic effort to retain skilled employees in sales and account management.
- Average annual industry wages dipped from $101,915 in 2021 to $94,857 by 2023 before rebounding near $98,400 by 2026. This suggests that wholesalers adjusted compensation in response to broader economic pressures, but have since recalibrated pay to remain competitive in attracting and retaining experienced, high-performing talent in client-facing and specialized operational roles.
- The widespread integration of automation—ranging from warehouse vehicles to digital contract management—has reduced the need for manual labor but has not translated into sustained wage-cost declines. Instead, wholesalers are reallocating payroll toward highly skilled personnel needed to manage customer relationships, drive sales growth and oversee technologically advanced operations, maintaining strong service standards even as routine roles are phased out.

Large wholesalers preserve stronger returns as industry profit rates soften

- Industrywide profit as a share of revenue has declined from 4.8% in 2021 to a low of 3.6% in 2024, with only a modest rebound to 3.8% in 2026. This reflects ongoing cost pressure and tightening profit as smaller wholesalers struggle to match the efficiency and contract leverage of their larger competitors.
- Southern Glazer, the industry's largest operator, consistently outperforms the sector, maintaining profit rates between 6.5% and 8.8% from 2021 to 2026. This margin advantage shows how scale enables top distributors to absorb supply chain shocks, negotiate better purchase terms and spread administrative costs more effectively.
- Smaller and mid-sized wholesalers face persistent headwinds from fluctuating input prices, regulatory compliance costs and limited purchasing power, leading to thinner profit. State-level policy changes and shifting transportation expenses further intensify margin compression for operators lacking broad geographic or product reach.

Investments in warehousing and logistics drive up depreciation costs

- Depreciation as a share of revenue remained stable at 1.8% from

2021 through 2024, but rose sharply to 2.3% in 2025 before settling at 2.2% in 2026. This uptick is linked to renewed capital spending on upgraded trucks, enhanced warehouse climate controls and expanded storage capacity to manage evolving logistics needs and regulatory standards.

- Despite lower refrigeration requirements compared to other beverage industries, wine and spirits wholesalers increasingly invest in temperature-controlled infrastructure to safeguard high-value inventory from spoilage. This is especially critical for wine, which requires storage environments consistently maintained between 45 and 65 degrees Fahrenheit both in transit and on premises.
- The recent increase in depreciation expense signals a strategic shift as wholesalers adopt advanced tracking, automation and compliance-driven upgrades. These investments, while expanding fixed costs, position distributors to enhance inventory security, optimize distribution efficiency and better navigate fluctuating consumer demand and regulatory scrutiny.

Distributors raise marketing expenditure to better reach small businesses

- While marketing is a relatively small expense for liquor distributors, it is important for finding new customers and reaching new markets. By design, the industry exclusively sells to retailers and other authorized customer-facing businesses, so all marketing is business-to-business.
- Over the last five years, wine and liquor distributors have stepped up their marketing and focused on reaching independent liquor stores, bars and restaurants. The volatility of bars and restaurants requires distributors to consistently work to find new clients.

Long leases and steady demand keep rent costs flat

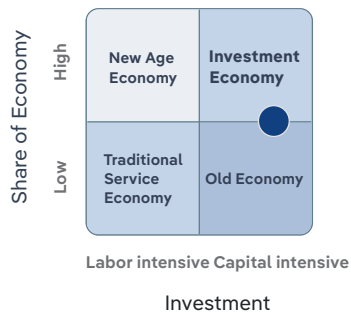
- Rent as a share of revenue has held constant at 0.9% from 2021 through 2026, confirming that occupancy expenses remain a minor and remarkably stable segment of wine and spirits wholesalers' cost structure. This steadiness reflects disciplined site selection and widespread reliance on multiyear lease agreements.
- While commercial property values have generally trended upward nationwide, most wholesalers are insulated from sudden rent spikes by securing longer-term leases and negotiating favorable renewal terms. As a result, increases in broader real estate markets do not immediately translate into higher occupancy expenses for the industry.
- Storage and staging needs for wine and spirits distribution have not shifted significantly during this period, further supporting flat rent outlays. Efficient network planning and limited warehouse expansion have minimized exposure to volatile real estate markets, allowing distributors to prioritize investment in other operational areas while maintaining cost discipline.

Utilities account for a small share of revenue

- Utilities are a minimal cost for wholesalers. Distributors mainly need energy to maintain temperatures to keep wine and liquor fresh. However, wine and spirits are stored at room temperature, so energy needs are minimal.
- Despite fluctuations in the prices of fuels and electricity, utilities have remained relatively low as a share of revenue.

Investment Economy

Share of economy vs. Investment



IBISWorld Source: IBISWorld

Financial Ratios

Days' Receivables	Interest Coverage	Debt/Net Worth
38.8 Higher than sector	1.2 Higher than sector	4.5 Higher than sector

Earnings Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
EBIT/Revenue	8.1	11.7	11.2	8.9	4.5	6.7	9.1	9.4
EBITDA/Revenue	11.5	15.1	14.7	12.7	8.0	10.3	12.6	12.9
Leverage Ratio	10.1	7.5	6.8	7.9	12.5	10.2	8.7	7.5

Industry Tax Structure

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Taxes Paid/Revenue	1.8	1.7	2.0	2.2	2.2	2.2	2.0	2.1

Income Statement

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Total Revenue	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Business receipts	97.3	96.6	96.6	95.2	95.2	95.2	95.9	96.5
Cost of goods	67.9	67.8	67.0	67.1	71.4	69.2	68.3	66.9
Gross Profit	32.1	32.2	33.0	32.9	28.6	30.8	31.7	33.1
Expenses								
Salaries and wages	7.3	7.5	7.3	7.5	7.7	7.6	7.5	7.9
Advertising	0.9	0.9	0.9	1.1	1.1	1.1	1.0	1.0
Depreciation	2.2	2.1	2.3	1.9	1.9	1.9	2.0	2.3
Depletion	0.4	0.4	0.4	0.2	0.1	0.2	0.3	0.3
Amortization	0.7	0.9	0.7	1.7	1.5	1.6	1.2	0.9
Rent paid	0.9	0.9	0.9	2.1	2.2	2.2	1.5	1.4
Repairs	0.7	0.7	0.7	0.4	0.3	0.3	0.5	0.6
Bad debts	3.1	0.1	0.3	0.2	0.1	0.1	0.2	0.7
Employee benefit programs	1.5	1.6	1.5	1.5	1.8	1.7	1.6	1.6
Compensation of officers	1.4	1.4	1.4	1.7	1.2	1.5	1.4	1.6
Taxes paid	1.8	1.7	2.0	2.2	2.2	2.2	2.0	2.1
Interest Income	0.1	0.3	0.6	1.6	1.3	1.5	1.0	0.5
Other Income								
Royalties	0.1	0.1	0.2	1.3	1.4	1.4	0.7	0.5
Rent Income	0.6	0.8	0.5	0.1	0.2	0.2	0.4	0.5
Net Income	4.3	8.1	7.2	2.8	-1.4	0.7	4.2	4.8
Charitable contributions	0.0	0.1	0.0	0.0	0.1	0.1	0.1	0.1
Dividends	0.0	0.0	0.1	0.0	0.1	0.0	0.0	0.0
Interest paid	2.0	1.8	2.1	3.9	3.7	3.8	2.9	2.5
Net gain, noncapital assets	0.1	0.2	0.1	0.1	0.1	0.1	0.1	0.2
Net long-term capital gain less net short-term loss	0.6	0.5	0.6	0.6	0.6	0.6	0.6	0.5
Net loss, noncapital assets	0.1	0.3	0.0	0.1	0.2	0.2	0.2	0.1
Net short-term capital gain less net long-term loss	0.3	0.4	0.3	0.1	0.1	0.1	0.3	0.2
Other deductions	4.5	3.6	4.1	4.2	4.4	4.3	4.1	4.4
Other receipts	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Pension, profit-sharing, etc., plans	0.2	0.1	0.3	1.1	1.2	1.1	0.7	0.6

Balance Sheet

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Assets								
Cash and Equivalents	3.9	6.2	4.3	2.2	3.3	2.8	4.0	3.7
Notes and accounts receivable	7.5	1.4	5.5	7.1	10.7	8.9	6.2	6.4
Allowance for bad debts	2.1	0.1	0.0	1.0	1.1	1.0	0.5	0.6
Inventories	13.2	16.8	22.1	18.7	19.9	19.3	19.4	18.1
Other current assets	0.8	2.9	0.3	4.1	5.0	4.6	3.1	3.4
Other investments	34.8	31.9	36.0	22.2	18.1	20.2	27.1	25.7
Property, Plant and Equipment	23.0	12.9	5.3	18.7	20.1	19.4	14.3	16.6
Accumulated depreciation	11.9	7.1	4.6	8.4	9.8	9.1	7.5	8.1
Intangible assets (Amortizable)	14.9	17.1	19.4	19.0	18.2	18.6	18.4	18.2
Accumulated amortization	3.0	1.0	1.4	2.9	3.1	3.0	2.1	2.1
Other assets	10.1	10.8	7.9	8.1	7.8	8.0	8.6	9.0
Total assets	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Accounts payable	7.2	7.4	2.6	5.9	8.2	7.1	6.0	6.6
Liabilities and Net Worth								
Mort, notes, and bonds under 1 yr	3.9	10.5	14.1	11.0	11.2	11.1	11.7	7.7
Other current liabilities	5.6	5.0	4.5	4.6	6.7	5.7	5.2	5.1
Loans from shareholders	2.1	0.5	1.6	5.7	5.7	5.7	3.4	5.6
Mort, notes, bonds, 1 yr or more	46.7	44.5	44.2	38.1	34.9	36.5	40.5	40.7
Other liabilities	9.2	6.0	9.1	10.6	11.0	10.8	9.2	10.6
Total liabilities	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Capital stock	3.1	1.3	5.5	-3.3	-3.1	-3.2	0.1	1.9
Additional paid-in capital	21.1	26.3	15.6	21.4	17.9	19.7	20.3	20.1
Retained earnings, appropriated	-6.8	-5.1	-0.3	-0.3	-0.1	-0.2	-1.5	-3.5
Retained earnings-unappropriated	11.3	17.7	21.1	19.2	19.3	19.2	19.3	13.1
Cost of treasury stock	3.5	14.1	18.0	12.8	11.8	12.3	14.2	7.8
Net worth	25.3	26.1	23.8	24.1	22.2	23.1	24.0	23.8
Accumulated depletion	0.0	0.1	0.2	0.2	0.2	0.2	0.2	0.3
Depletable assets	0.2	0.9	0.8	0.8	0.8	0.8	0.9	0.9
Government Obligations	2.2	0.1	0.1	0.4	0.5	0.4	0.3	1.2
Land	3.2	6.2	3.8	2.7	2.4	2.5	3.7	4.3
Loans to shareholders	0.4	0.6	0.4	1.0	1.0	1.0	0.8	0.8
Mortgage and real estate loans	1.9	0.1	0.1	7.0	5.7	6.4	3.2	2.3
Tax Exempt Securities	1.0	0.4	0.3	0.4	0.6	0.5	0.4	0.7

Liquidity Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Current Ratio	1.8	1.2	1.5	1.6	1.6	1.6	1.5	1.8
Quick Ratio	1.0	0.5	0.5	0.7	0.8	0.8	0.6	0.9
Sales/Receivables	11.5	61.8	18.2	14.0	9.4	11.7	25.9	31.7
Days' Receivables	31.6	5.9	20.1	26.0	38.8	32.4	22.7	21.6
Days' Inventory	82.6	102.4	120.3	101.9	101.2	101.5	106.4	89.8
Inventory Turnover	4.4	3.6	3.0	3.6	3.6	3.6	3.4	4.3
Payables Turnover	8.2	8.1	25.8	11.4	8.7	10.1	13.5	13.9
Days' Payables	44.6	44.9	14.1	32.0	41.9	36.9	33.2	31.5
Sales/Working Capital	6.0	16.9	8.5	7.6	6.4	7.0	9.9	8.5

Coverage Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Interest Coverage	4.1	6.3	5.4	2.3	1.2	1.7	3.8	4.2
Debt Service Coverage Ratio	2.5	1.3	1.0	1.2	0.7	0.9	1.0	3.3

Leverage Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Fixed Assets/Net Worth	2.2	1.7	1.5	2.2	2.5	2.3	2.0	2.2
Debt/Net Worth	4.0	3.8	4.2	4.1	4.5	4.3	4.2	4.2
Tangible Net Worth	25.3	26.1	23.8	24.1	22.2	23.1	24.0	23.8

Operating Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Return on Net Worth, %	27.7	39.6	47.2	37.0	20.2	28.6	36.0	46.4
Return on Assets, %	7.0	10.3	11.2	8.9	4.5	6.7	8.7	10.8
Sales/Total Assets	0.9	0.9	1.0	1.0	1.0	1.0	1.0	1.2
EBITDA/Revenue	11.5	15.1	14.7	12.7	8.0	10.3	12.6	12.9
EBIT/Revenue	8.1	11.7	11.2	8.9	4.5	6.7	9.1	9.4

Cash Flow & Debt Service Ratios (% of sales)

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Cash from Trading	29.9	21.6	41.7	34.6	22.2	28.4	30.0	32.0
Cash after Operations	22.3	6.9	32.1	18.1	11.0	14.6	17.0	19.5
Net Cash after Operations	21.5	7.6	33.3	18.2	7.4	12.8	16.6	18.8
Debt Service P&I Coverage	2.9	0.5	1.9	1.1	0.4	0.7	1.0	2.2
Interest Coverage (Operating Cash)	10.9	4.1	15.9	4.7	2.0	3.3	6.7	8.2

Valuation Multiples

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
EV/Revenue	0.7	0.8	0.8	0.8	0.7	0.8	0.8	0.7
EV/EBITDA	6.4	5.0	5.4	6.0	8.9	6.8	6.4	5.7
EV/EBIT	9.1	6.5	7.1	8.6	15.9	10.5	9.4	8.0

Key Ratios

Year	Revenue per Employee ($)	Revenue per Enterprise ($ Million)	Employees per Estab. (Units)	Employees per Enterprise (Units)	Average Wage ($)	Wages/ Revenue (%)	Estab. per Enterprise (Units)	IVA/ Revenue (%)
2003	1,187,735	29.2	21.4	24.6	90,629	7.6	1.1	21.6
2004	1,209,868	28.1	20.4	23.2	90,948	7.5	1.1	21.9
2005	1,264,593	28.8	20.2	22.7	91,020	7.2	1.1	20.7
2006	1,220,595	27.9	20.4	22.9	87,830	7.2	1.1	20.1
2007	1,320,611	28.2	19.1	21.4	88,358	6.7	1.1	17.0
2008	1,316,784	27.2	18.5	20.7	90,946	6.9	1.1	17.8
2009	1,321,688	25.0	17.0	18.9	91,952	7.0	1.1	17.4
2010	1,357,678	24.1	15.9	17.7	92,518	6.8	1.1	18.1
2011	1,380,941	23.6	15.5	17.1	93,548	6.8	1.1	18.6
2012	1,382,630	22.5	14.7	16.2	93,930	6.8	1.1	17.9
2013	1,397,041	23.1	15.0	16.5	94,962	6.8	1.1	18.8
2014	1,307,943	21.6	15.1	16.5	103,573	7.9	1.1	33.0
2015	1,321,596	21.7	15.1	16.4	100,168	7.6	1.1	19.2
2016	1,353,046	22.4	15.1	16.6	95,141	7.0	1.1	17.8
2017	1,360,754	21.7	14.6	16.0	93,675	6.9	1.1	18.8
2018	1,395,899	21.3	14.0	15.3	100,005	7.2	1.1	18.7
2019	1,393,102	21.7	14.2	15.6	102,114	7.3	1.1	18.6
2020	1,451,925	23.2	14.5	16.0	97,168	6.7	1.1	17.9
2021	1,568,305	24.3	14.0	15.5	101,914	6.5	1.1	13.1
2022	1,390,313	21.7	14.1	15.6	95,823	6.9	1.1	13.5
2023	1,358,950	21.6	14.4	15.9	94,857	7.0	1.1	12.5
2024	1,363,762	21.1	14.0	15.5	97,258	7.1	1.1	12.5
2025	1,404,536	21.3	13.8	15.2	98,404	7.0	1.1	13.0
2026	1,403,186	21.3	13.7	15.1	98,383	7.0	1.1	13.0
2027	1,404,259	21.2	13.7	15.1	98,398	7.0	1.1	13.0
2028	1,404,094	21.2	13.7	15.1	98,395	7.0	1.1	12.9
2029	1,402,240	21.1	13.6	15.0	98,370	7.0	1.1	12.9

Year	Revenue per Employee ($)	Revenue per Enterprise ($ Million)	Employees per Estab. (Units)	Employees per Enterprise (Units)	Average Wage ($)	Wages/ Revenue (%)	Estab. per Enterprise (Units)	IVA/ Revenue (%)
2030	1,403,769	21.1	13.6	15.0	98,391	7.0	1.1	13.0
2031	1,405,651	21.1	13.6	15.0	98,417	7.0	1.1	13.0
2032	1,397,375	20.8	13.5	14.9	98,302	7.0	1.1	12.8

Key Statistics

Industry Data

Values

Year	Revenue ($ Million)	IVA ($ Million)	Estab. (Units)	Enterprises (Units)	Employment (Units)	Wages ($ Million)
2003	78,034.2	16,856.5	3,072	2,675	65,700	5,954.3
2004	81,904.4	17,940.3	3,314	2,916	67,697	6,156.9
2005	87,564.2	18,113.5	3,424	3,044	69,243	6,302.5
2006	90,647.5	18,261.7	3,632	3,250	74,265	6,522.7
2007	95,954.3	16,285.5	3,802	3,402	72,659	6,420.0
2008	99,983.4	17,784.4	4,111	3,675	75,930	6,905.5
2009	99,700.2	17,309.9	4,441	3,993	75,434	6,936.3
2010	101,238.0	18,300.4	4,685	4,201	74,567	6,898.8
2011	105,473.5	19,586.0	4,940	4,460	76,378	7,145.0
2012	110,505.3	19,754.3	5,433	4,922	79,924	7,507.3
2013	115,619.1	21,688.9	5,504	5,005	82,760	7,859.0
2014	114,507.8	37,755.0	5,794	5,305	87,548	9,067.6
2015	117,229.5	22,531.3	5,891	5,407	88,703	8,885.2
2016	122,322.1	21,821.7	5,978	5,449	90,405	8,601.2
2017	123,556.5	23,206.8	6,215	5,683	90,800	8,505.7
2018	126,263.2	23,576.4	6,472	5,915	90,453	9,045.7
2019	130,819.3	24,297.4	6,615	6,021	93,905	9,589.0
2020	138,268.3	24,763.3	6,569	5,950	95,231	9,253.4
2021	144,903.6	18,922.0	6,606	5,968	92,395	9,416.3
2022	138,708.7	18,691.6	7,080	6,403	99,768	9,560.1
2023	140,046.6	17,491.5	7,166	6,489	103,055	9,775.5
2024	141,360.8	17,650.6	7,400	6,696	103,655	10,081.3
2025	144,285.2	18,725.2	7,471	6,770	102,728	10,108.9
2026	146,689.1	19,131.9	7,615	6,901	104,540	10,285.0
2027	149,640.7	19,406.5	7,771	7,042	106,562	10,485.5
2028	152,521.1	19,612.6	7,945	7,201	108,626	10,688.3
2029	155,676.7	20,102.3	8,139	7,379	111,020	10,921.0
2030	158,896.8	20,588.2	8,304	7,529	113,193	11,137.2
2031	162,192.5	21,113.5	8,479	7,688	115,386	11,356.0
2032	161,957.2	20,770.3	8,574	7,781	115,901	11,393.3

Note

Figures are inflation adjusted to 2026

Industry Data

Annual Change

Year	Revenue %	IVA %	Estab. %	Enterprises %	Employment %	Wages %
2003	N/A	N/A	N/A	N/A	N/A	N/A
2004	5.0	6.4	7.9	9.0	3.0	3.4
2005	6.9	1.0	3.3	4.4	2.3	2.4
2006	3.5	0.8	6.1	6.8	7.3	3.5
2007	5.9	-10.8	4.7	4.7	-2.2	-1.6
2008	4.2	9.2	8.1	8.0	4.5	7.6
2009	-0.3	-2.7	8.0	8.7	-0.7	0.4
2010	1.5	5.7	5.5	5.2	-1.1	-0.5
2011	4.2	7.0	5.4	6.2	2.4	3.6
2012	4.8	0.9	10.0	10.4	4.6	5.1
2013	4.6	9.8	1.3	1.7	3.5	4.7
2014	-1.0	74.1	5.3	6.0	5.8	15.4
2015	2.4	-40.3	1.7	1.9	1.3	-2.0
2016	4.3	-3.1	1.5	0.8	1.9	-3.2
2017	1.0	6.3	4.0	4.3	0.4	-1.1
2018	2.2	1.6	4.1	4.1	-0.4	6.3
2019	3.6	3.1	2.2	1.8	3.8	6.0
2020	5.7	1.9	-0.7	-1.2	1.4	-3.5
2021	4.8	-23.6	0.6	0.3	-3.0	1.8
2022	-4.3	-1.2	7.2	7.3	8.0	1.5
2023	1.0	-6.4	1.2	1.3	3.3	2.3
2024	0.9	0.9	3.3	3.2	0.6	3.1
2025	2.1	6.1	1.0	1.1	-0.9	0.3
2026	1.7	2.2	1.9	1.9	1.8	1.7
2027	2.0	1.4	2.0	2.0	1.9	1.9
2028	1.9	1.1	2.2	2.3	1.9	1.9
2029	2.1	2.5	2.4	2.5	2.2	2.2
2030	2.1	2.4	2.0	2.0	2.0	2.0
2031	2.1	2.6	2.1	2.1	1.9	2.0
2032	-0.1	-1.6	1.1	1.2	0.4	0.3

Note

Figures are inflation adjusted to 2026

Key Success Factors

How do successful businesses overcome volatility?

Change or diversify markets

Companies must hold a diverse range of wines and spirits to appeal to rapidly changing consumer preferences.

Develop a strong reputation

Wholesalers that develop strong reputations for competitive prices and superior after-sale services will attract repeat buyers, mitigating revenue and profit fluctuations.

What products or services do successful businesses offer?

Establishment of brand names

A portfolio of brand-name products helps operators compete for retailer purchases and shelf space in retail stores, restaurant presence and producer attention. Brand names are more recognized and therefore easier for wholesalers to sell.

Effective product promotion

Distributors must effectively market their inventories to retailers and restaurants using value add services, including tastings, wine and food pairings, inventory management and new product development.

How do businesses use location to their advantage?

Proximity to key markets

It is important to have a location that is close to major suppliers and clients to minimize transport and distribution costs.

Operate in a location that is close to key suppliers

Many wholesalers operate near major wineries and distilleries to promote relationships with suppliers and cut transportation costs.

How do successful businesses handle concentration?

Market differentiated products

To succeed in a concentrated market, distributors must effectively market their unique inventories to retailers and restaurants. Value-added services like tastings, wine and food pairings, inventory management and new product development play a crucial role.

Leverage product design, quality and brand strengths

A portfolio of brand-name products helps wine and spirits wholesalers compete for retailer purchases and shelf space in retail stores, restaurant presence and producer attention. Brand names are more recognized and easier for wholesalers to sell.

How can potential entrants overcome barriers to entry?

Comply with government regulations

Alcohol industries are closely regulated. While some laws aid distributors, others are largely intended to control and reduce alcohol sales. Wholesalers must ensure compliance to avoid legal complications.

Secure access to well-established brand names

A portfolio of brand-name products helps operators compete for retailer purchases and shelf space in retail stores, restaurant presence and producer attention. Brand names are more recognized and easier for wholesalers to sell.

How do successful businesses compete with substitutes?

Promote products effectively

Distributors must effectively market their inventories to retailers and restaurants using value-added services, including tastings, wine and food pairings, inventory management and new product development.

Establish brand names

A portfolio of brand-name products helps operators compete for retailer purchases and shelf space in retail stores, restaurant presence and producer attention. Brand names are more recognized and easier for wholesalers to sell.

How do successful businesses manage buyer & supplier power?

Ability to control stock on hand

Distributors typically warehouse 60 to 90 days of product inventory. Companies must control inventory levels to ensure that products are selling and to reduce warehousing costs.

Develop an extensive distribution network

Wholesalers must acquire supply from a wide range of successful and well-known liquor and wine brands to remain successful.

Call Prep Questions

Role Specific Questions

Sales & Marketing

How do shifts in consumer preferences toward things like boosted health consciousness, digitization and sustainability impact your business?

- Wine and spirit consumption can be affected by trends and changes in perceived health benefits. Demand at the consumer level affects wholesaler revenue.

How does your company maintain a competitive edge in such a crowded industry?

- Market concentration is low, and competition is high. Industry operators, in an attempt to gain market share, might enact mergers or increase the services and value added to customers.

Strategy & Operations

Has your company explored growth opportunities via mergers or acquisitions?

- Large distributors are enacting mergers and strategic partnerships in order to expand their geographic reach and market share. Acquisitions allow them to enter a market using an already established supply chain.

How do you manage volatile demand that results from economic conditions or seasonality?

- Many industry operators have distribution agreements with a range of low-value and high-value brands in order to appeal to consumer demand needs during times of contraction and expansion.
- During uncertain economic times, consumers may be more likely to buy lower quality and priced products.

Technology

How are boosted digitization for businesses and the growing popularity of online shopping affecting your financial performance?

- The boosted popularity of online shopping is putting threatening pressure on the wine and spirits wholesaling industry because it could catalyze further deregulation of the industry that would be harmful to wholesalers.

Does your company use RFID to optimize inventory management and improve efficiency?

- This software allows inventory to be recorded using geo-location. The radio signals can track product deliveries and ultimately reduce the amount of labor required to scan each individual unit shipped.

Compliance

What regulations do industry operators have to follow?

- Wine and spirits wholesalers must adhere to regulations regarding licensing, taxation, labeling, transportation and import/export dictated by various federal, state and local authorities. They must also comply with age restrictions and various health and safety guidelines.

How does your company monitor potential changes to the regulatory environment?

- Many industry operators are members of industry associations which lobby on behalf of their interests and monitor and analyze any changes in regulation and policy.

Finance

How does your trading profit compare to your main competitors?

- Margins in wine and distilled spirits wholesaling are generally higher than in other wholesaling industries. This is because of the three-tier system which doesn't allow the level of wholesale bypass possible in other industries.

What cost-saving measures do you currently employ and what measures might you implement in the future?

- Distributors have a lot of leverage when negotiating prices with producers and retailers. Distributors can pressure producers to reduce costs

and charge retailers higher prices. Any costs from excise taxes are passed on to the consumer through higher prices.

External Impacts Questions

Per capita expenditure on alcohol

How can you promote alcohol as a healthy dietary supplement during low expenditure?

- Demand at the wholesale level is driven by demand at the retail level, measured by expenditure.
- The alcohol industry is typically immune to economic fluctuations, with demand sometimes increasing during economic downturns.

Excise tax on distilled spirits

How has your company been affected by rising excise taxes on alcohol? How do rising prices affect demand for your company's products?

- Excise taxes on distilled spirits boost the retail price of alcohol and, theoretically, the increased price leads to less demand for distilled spirits.

Demand from beer, wine and liquor stores

How do you monitor fluctuations in downstream demand in such stores? How are your prices affected by such increases or decreases in demand?

- Since retail establishments are required to purchase from licensed wholesalers, increases in demand from beer, wine and liquor stores directly translate to demand for industry products and services.

Internal Issues Questions

Must comply with government regulations

Do you monitor changes in government regulations? Have you had any issues with government regulations in the past?

- While some laws aid distributors, others are largely intended to control and reduce alcohol sales. Wholesalers must ensure compliance to avoid legal complications.

Establishment of brand names

Do you have a reputation for good quality service? Do you manufacture any branded products? How do you promote your products and services?

- Brand names are more recognized and therefore easier for wholesalers to sell.

Proximity to key markets

Is your company dominant in any particular regional markets? What range does your company have in terms of viable operating area?

- To minimize transport and distribution costs, it is important to have a location that is close to major suppliers and clients.

IBISWorld

IBISWorld helps you find the industry information you need - fast.

Disclaimer

This publication has been supplied by IBISWorld Inc. and its Affiliates ('IBISWorld') solely for use by its authorized licensee and strictly in accordance with their agreement with IBISWorld. The publication is provided on an “as-is” and “as available” basis, and IBISWorld makes no representations or warranties, express or implied, regarding the merchantability, fitness for a particular purpose, completeness, or accuracy of the data or information contained herein. This publication is not intended to be advice and should not be relied upon as such. To the extent permitted by law, IBISWorld disclaims all liability for loss or damage, direct and indirect suffered or incurred by any person resulting from the use of, or reliance upon, the data in this publication.

Copyright to this publication is owned by IBISWorld. All data, information, articles, graphs, and content contained in this publication are copyrighted works and IBISWorld hereby reserves all rights. The product is sold on the basis that the licensee agrees not to copy, reproduce, republish, upload to a third party, or distribute the content or any trade or service mark displayed within the product except in accordance with the agreement. In the event that the licensee is given written permission by IBISWorld to use or quote excerpts from the product, it will be sourced to IBISWorld.